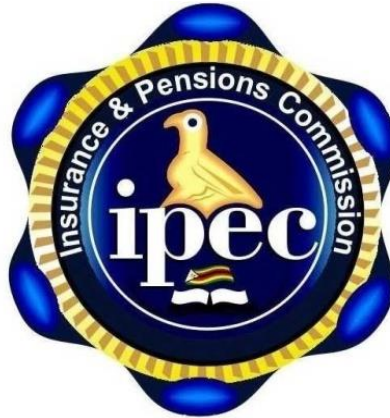




INSURANCE AND PENSIONS COMMISSION (IPEC)

SHORT TERM (NON-LIFE) INSURANCE REPORT

FOR THE QUARTER ENDED 30 SEPTEMBER 2014

Contents

Executive Summary	6
SECTION A	7
1. SHORT-TERM (NON-LIFE) INSURANCE COMPANIES	7
1.1. Number of Direct Non-life Insurers	8
1.2. Trend and Distribution of Business.....	8
1.3. Capitalization	10
1.4. Asset Quality.....	13
1.5. Reinsurance	17
1.6. Actuarial Matters	20
1.7. Earnings	21
1.8. Liquidity	22
1.9. Market Share for Non-life Insurers.....	23
SECTION B.....	25
2. REINSURANCE COMPANIES	25
2.1. Number of Non-life Reinsurers.....	26
2.2. Trend and Distribution of Business Written.....	26
2.3. Capitalization	28
2.4. Asset Quality.....	30
2.5. Retrocession	32
2.6. Actuarial Matters	35
2.7. Earnings	35
2.8. Liquidity	36
2.9. Market Share for Reinsurers	37
SECTION C.....	39
3. INSURANCE BROKERS.....	39
3.1 Number of Insurance Brokers.....	40
3.2 Business Written	40
3.3 Capitalization	42

3.4 Asset Quality.....	43
3.5 Earnings	44
3.6 Market Share for Insurance Brokers.....	44
SECTION D	46
4. REINSURANCE BROKERS.....	46
4.1 Number of Reinsurance Brokers.....	47
4.2 Business Written	47
4.3 Capitalization	48
4.4 Asset Quality.....	48
4.5 Earnings for Reinsurance Brokers.....	48
4.6 Market Share for Reinsurance Brokers	49
SECTION E	50
5. APPENDICES.....	50

List of Figures

Figure 1: Trend in Business Written in the Nine Months Ended 30 September Since 2010	8
Figure 2: Distribution of Insurers' Gross Premium Written by Business Class.....	10
Figure 3: Solvency Margin for Non-life Insurers	12
Figure 4: Quarterly Trend in Total Assets Since 2009	13
Figure 5: Breakdown of Short-Term Insurers' Total Assets	14
Figure 6: Insurers with the Highest Exposure to Related Parties over Total Assets Ratios	15
Figure 7: Premium Debtors to Total Assets Ratios	16
Figure 8: Retention Ratios for Short Term Insurance Companies	18
Figure 9: Non-life Insurers' Average Retention Ratios for Different Classes of Business.....	19
Figure 10: Market Share for Insurers in Terms of GPW and NPW	23
Figure 11: Market Share for Insurers in Terms of Total Assets	24
Figure 12: Trend in Business Written for the Year to 30 September Since 2010.....	26
Figure 13: Distribution of Reinsurers' GPW by Business Class.....	28
Figure 14: Solvency Margin for Reinsurers	29
Figure 15: Trend in Total Assets for Non-life Reinsurers since 2009.....	30
Figure 16: Breakdown of Non-life Reinsurers' Total Assets.....	31
Figure 17: Premium Debtors to Assets and Premium Debtors to GPW Ratios.....	32
Figure 18: Retention Ratios for Reinsurers	33
Figure 19: Retention Ratios by Class of Insurance Business	34
Figure 20: Market Share for Reinsurers in Terms of GPW and NPW	37
Figure 21: Market Share for Reinsurers in Terms of Total Assets	38
Figure 22: Distribution of Insurance Brokers' Gross Premium Written by Business Class	41
Figure 23: Distribution of Insurance Brokers' Total Assets	44
Figure 24: Market Share in Terms of Net Brokerage Income and Premium Written.....	45
Figure 25: Market Share for Insurance Brokers in Terms of Total Assets.....	45
Figure 26: Market Share for Reinsurance Brokers.....	49

List of Tables

Table 1: Non-life Insurers' Gross Premium Written by Class of Business.....	9
Table 2: Capital Positions for Non-life Insurers	11
Table 3: Reinsurers' Gross Premium Written by Class of Business	27
Table 4: Capital Positions for Non-life Reinsurers	29
Table 5: Indicators of Business Written for Insurance Brokers	41
Table 6: Reported Capital Levels for Insurance Brokers	42
Table 7: Indicators of Business Written for Reinsurance Brokers	47
Table 8: Capital Levels for Reinsurance Brokers.....	48

List of Acronyms and Abbreviations

DAC	-	Deferred Acquisition Cost
GPW	—	Gross Premium Written
IBNR	—	Incurred But Not Reported
IPEC/Commission	—	Insurance and Pensions Commission
NEP	—	Net Earned Premium
NPW	—	Net Premium Written
O/S Claims	-	Outstanding Claims
ROA	-	Return on Assets
ROE	—	Return on Equity
UCR	-	Unearned Commission Reserve
UPR	—	Unearned Premium Reserve
ZIMASSET	-	Zimbabwe Agenda for Sustainable Socio-Economic Transformation

Note: Unless stated otherwise, all monetary figures are in United States Dollars.

Executive Summary

This report details the performance and developments that took place in the non-life insurance sector during the quarter ended 30 September 2014. There were no changes in the number of registered underwriters as well as insurance brokers. However, the number of operational reinsurance brokers increased from three (3) as at 30 June 2014 to four (4) as at 30 September 2014. Total gross premium written (GPW) by non-life insurers for the nine months ended 30 September 2014 to \$153.20 million compared to \$153.41 million reported in the comparative period in 2013. Reinsurers recorded a 2.07% growth in business generated in terms of GPW from \$78.39 million for the nine months ended 30 September 2013 to \$80.02 million for the comparative period in 2014. Insurance brokers handled business which was worth \$63.78 million in terms of gross premium during nine months ended 30 September 2014 compared to \$72.62 million reported in the comparative period in 2013. On the other hand reinsurance brokers handled business with gross premium worth \$47.18 million. The dominant classes of insurance business remained motor and fire insurance. Six (6) insurance companies and one reinsurer were not compliant with the regulatory minimum capital requirement of \$1.5 million as at 30 September 2014. Total assets for the non-life insurance industry amounted to \$326.72 million as at 30 September 2014 compared to \$343.74 million that was reported as at 30 June 2014. All the short term underwriters, except FBC Reinsurance Company, remained non-compliant to the minimum prescribed asset ratio of 5%. There were no significant changes in the risk appetite of both non-life insurers and reinsurers as evidenced by negligible changes in the industry average retention ratios. Profitability for both direct insurance companies and reinsurance companies deteriorated during the period under review mainly owing to increasing operating expenses. Total profit after tax for non-life insurers decreased from \$10.50 million for the nine months ended 30 September 2013 to \$8.79 million for the comparative period in 2014. On the other hand, profit after tax for reinsurers decreased from \$6.50 million for the nine months ended 30 September 2013 to \$1.39 for the nine months ended 30 September 2014.

SECTION A

1. SHORT-TERM (NON-LIFE) INSURANCE COMPANIES

1.1. Number of Direct Non-life Insurers

The number of registered non-life insurers was twenty five (25) as at 30 September 2014 indicating no change in the number reported as at 30 June 2014. Altfin Insurance Company remained suspended from initiating as well as renewing insurance business as at the same date. Recapitalization initiatives for Export Credit Guarantee Corporation (ECGC) were at an advanced stage by the time of compilation of this report.

1.2. Trend and Distribution of Business

The non-life insurance sector reported insignificant changes in volume of business written with gross premium written (GPW) decreasing marginally by 0.14% from \$153.41 million for the nine months ended 30 September 2013 to \$153.20 million for the comparative period in 2014. This position may be attributable to the liquidity challenges coupled with retarded economic growth. Non-life insurers are urged to devise strategies to rejuvenate the business volumes, such as targeting the previously uninsured through micro insurance, if sustainable growth is to be realized. The business ceded to reinsurers decreased by 6.22% from \$72.58 million for the nine months ended 30 September 2014 to \$68.08 for the period under review. Figure 1 shows the trend in volume of business for the nine months periods ended 30 September since 2010.

Figure 1: Trend in Business Written in the Nine Months Ended 30 September Since 2010



Generally, there were shrinkages in business generated from the majority of business classes as shown in Table 1 below. However, positive growth was recorded in some classes, with the fastest growing business being observed in engineering and personal accident with growth rates of 23.32% and 20.62% in GPW respectively. Table 1 below shows changes in GPW for all classes.

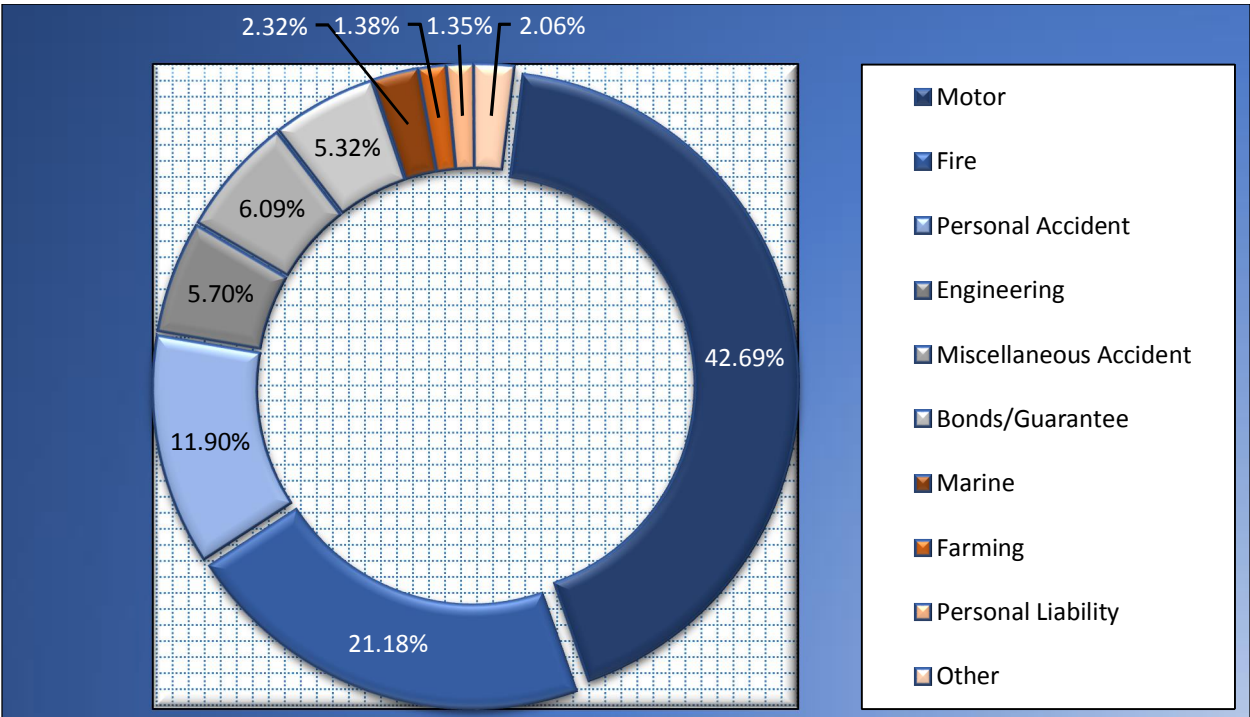
Table 1: Non-life Insurers' Gross Premium Written by Class of Business

Class of Business	Gross Premium Written (\$)		Percentage Change
	30 Sep 2013	30 Sep 2014	
Aviation	4,171,368	1,552,699	-62.78%
Bonds/Guarantee	8,518,110	8,148,555	-4.34%
Engineering	7,082,727	8,734,559	23.32%
Farming	1,949,504	2,043,803	4.84%
Fire	31,931,279	32,454,753	1.64%
Hail	391,628	75,300	-80.77%
Health	948,926	349,708	-63.15%
Hire Purchase	2,643,922	1,249,065	-52.76%
Marine	3,458,761	3,555,033	2.78%
Miscellaneous Accident	11,096,906	9,336,101	-15.87%
Motor	63,485,558	65,395,216	3.01%
Personal Accident	15,117,529	18,235,488	20.62%
Personal Liability	2,615,392	2,071,074	-20.81%
Total	153,411,610	153,201,354	-0.14%

The distribution of business written in terms of GPW across different classes of business remained largely unchanged. The business generated by insurance companies remained skewed towards motor and fire insurance, with the two business classes contributing 63.87% of total GPW for the nine months ended 30 September 2014 compared to 62.19% of reported for the nine months ended 30 September 2013. Motor insurance business is the dominant source of business accounting for more than 40%. Figure 2 below shows the distribution of business written during the period under review.

The spread of business across different classes was considered to be fairly balanced and sustainable. While losses from motor insurance are generally of higher frequency and low severity, losses from fire and other business classes are generally of low frequency, and in some instances high severity.

Figure 2: Distribution of Insurers’ Gross Premium Written by Business Class



1.3. Capitalization

All registered and operating insurers, except six (6) reported capital positions which were below the minimum regulatory requirement of \$1.5 million as at 30 September 2014 as shown in Table 2 below. Engagements with the six (6) insurance companies are ongoing and the commission will communicate with the relevant stakeholders once necessary regulatory measures have been put in place to protect policyholders. The nature of the regulatory action will, in addition to the minimum capital requirement, be determined by other factors such as solvency margins, asset quality, liquidity and failure to timeously settle legitimate claims.

Meanwhile, all insurers are required to proactively conduct self-assessment of their capital positions in line with Circular 1 of 2014, and take necessary action to ensure compliance with minimum capital requirements. The capital positions shown in table have not been discounted to account for non-permissible assets such as related party exposures and other issues as provided for in Circular 1 of 2014.

Table 2: Capital Positions for Non-life Insurers

Name of Insurance Company	Reported Capital Position (\$)			
	31-Dec-13	31-Mar-14	30-Jun-14	30-Sep-14
1. Alliance Insurance Company	4,009,722	4,191,502	4,594,720	4,499,490
2. Allied Insurance Company	741,791	773,347	972,643	1,564,454
3. Altfin Insurance Company	1,335,000	1,048,000	756,000	906,000
4. C.B.Z Insurance Company	1,612,651	1,633,044	1,672,681	1,813,952
5. Cell Insurance Company	2,311,187	2,719,408	2,427,865	2,422,370
6. Champions Insurance Company	1,396,315	1,642,987	1,938,703	1,969,114
7. Clarion Insurance Company	1,175,794	1,491,570	1,606,510	1,573,050
8. Credit Insurance Zimbabwe	3,060,021	2,734,822	2,724,332	2,477,977
9. Eagle Insurance Company	3,556,696	3,187,280	3,508,390	4,124,888
10. Evolution Insurance Company	1,411,499	1,655,555	2,261,583	2,320,500
11. Excellence Insurance Company	319,729	515,551	437,060	749,625
12. Global Insurance Company	894,904	1,016,712	895,078	662,505
13. Hamilton Insurance Company	639,578	843,511	1,883,386	2,051,314
14. Heritage Insurance Company	1,166,281	970,192	3,581,713	3,592,294
15. KMFS Insurance Company	159,988	1,090,750	1,093,565	460,028
16. Nicoz Diamond Insurance Company	9,727,621	10,966,000	10,246,000	10,422,000
17. Old Mutual Insurance Company	11,596,571	12,778,150	13,557,075	13,896,371
18. Quality Insurance Company	1,376,118	1,163,000	1,426,000	1,513,000
19. Regal Insurance Company	2,580,907	2,659,896	2,711,283	2,716,304
20. Safel Insurance Company	1,405,056	1,388,844	1,351,012	1,335,430
21. Sanctuary Insurance Company	615,295	1,348,702	1,395,468	1,301,036
22. THI Insurance (Pvt) Ltd	3,961,574	3,494,137	3,291,590	3,589,398
23. Tristar Insurance Company	922,615	1,077,435	1,533,333	1,701,718

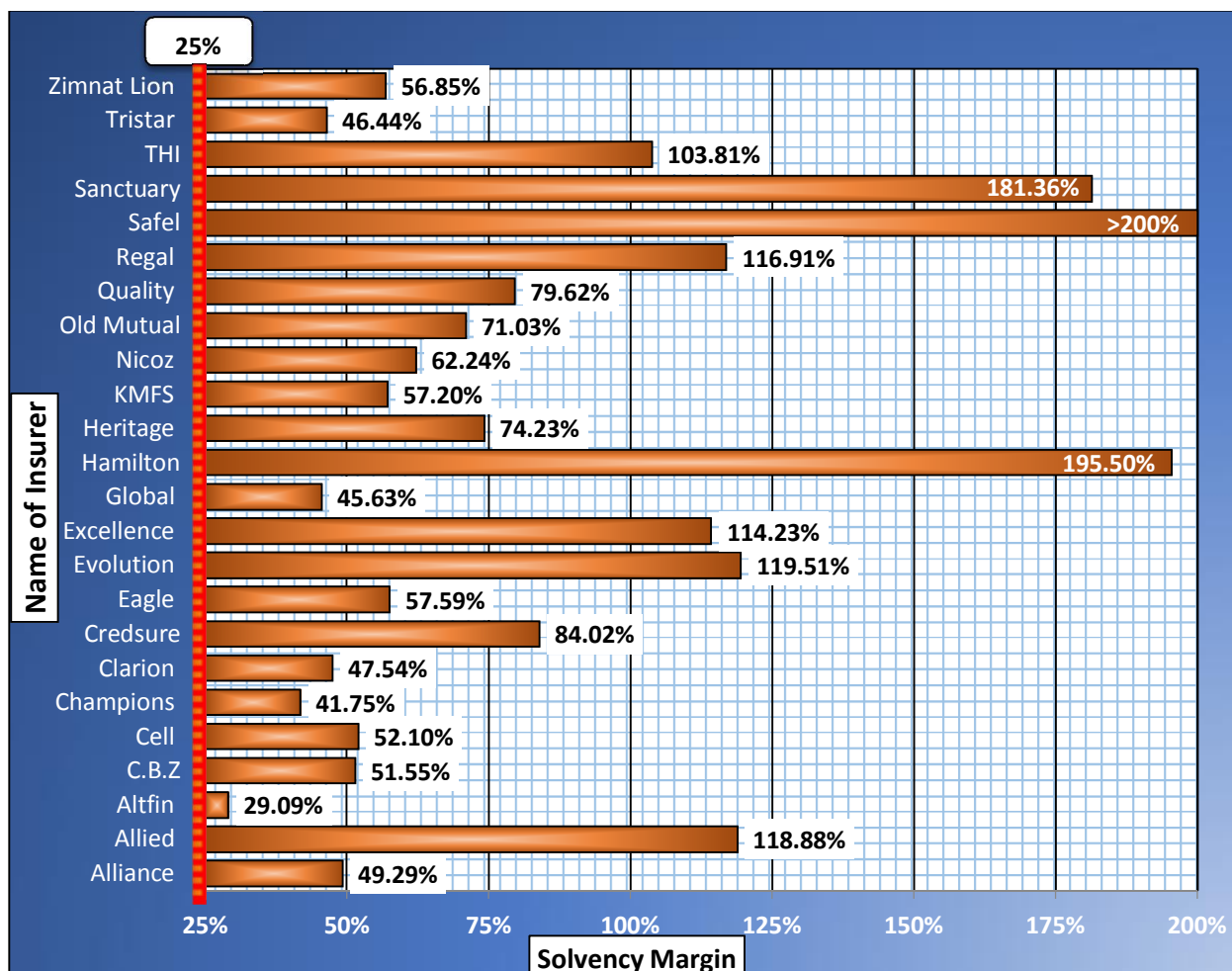
Name of Insurance Company	Reported Capital Position (\$)			
	31-Dec-13	31-Mar-14	30-Jun-14	30-Sep-14
24. Zimnat Lion Insurance Company	2,627,224	3,822,754	4,155,987	4,575,936

Key:

	The insurer reported a capital position that was compliant with the minimum capital requirement of \$1.5 million.
	The insurer reported a capital position which is more than \$0.75 million but less than the minimum capital requirement of \$1.5 million.
	The insurer reported a capital position less than \$0.75 million.

All non-life insurance companies reported solvency margins which were above the minimum requirement of 25% stipulated in section 24 of the Insurance Act [Chapter 24:07]. The industry average solvency margin as at 30 September 2014 was 68.41% compared to 65.50% reported as at 30 June 2014.

Figure 3: Solvency Margin for Non-life Insurers



However, it should be noted that in terms of the same section, non-life insurers should comply with both the minimum capital requirement of \$1.5 million as well as the solvency margin of 25%. This therefore implies that in terms of assessing compliance with minimum capital requirements, the minimum of \$1.5 million takes precedence in this case.

1.4. Asset Quality

Total assets for direct non-life insurers continued on a downward trend, which trend started on 31 March 2014. During the quarter under review the total assets declined by 2.77% from \$176.24 million as at 30 June 2014 to \$171.37 million as at 30 September 2014. The decrease was mainly attributable to writing off of premium debtors as well as deferred acquisition costs net of unearned commission reserves (DAC/UCR) from \$40.19 million and \$6.93 million as at 30 June 2014 to \$33.60 million and \$4.13 million as at 30 September 2014 respectively.

As shown in Figure 4 below the downward trend from the end of the first quarter in 2014 to the reporting date, is in sync with the pattern recorded over the years since 2010, wherein total assets have been generally on the downward trend from 31 March to 30 September.

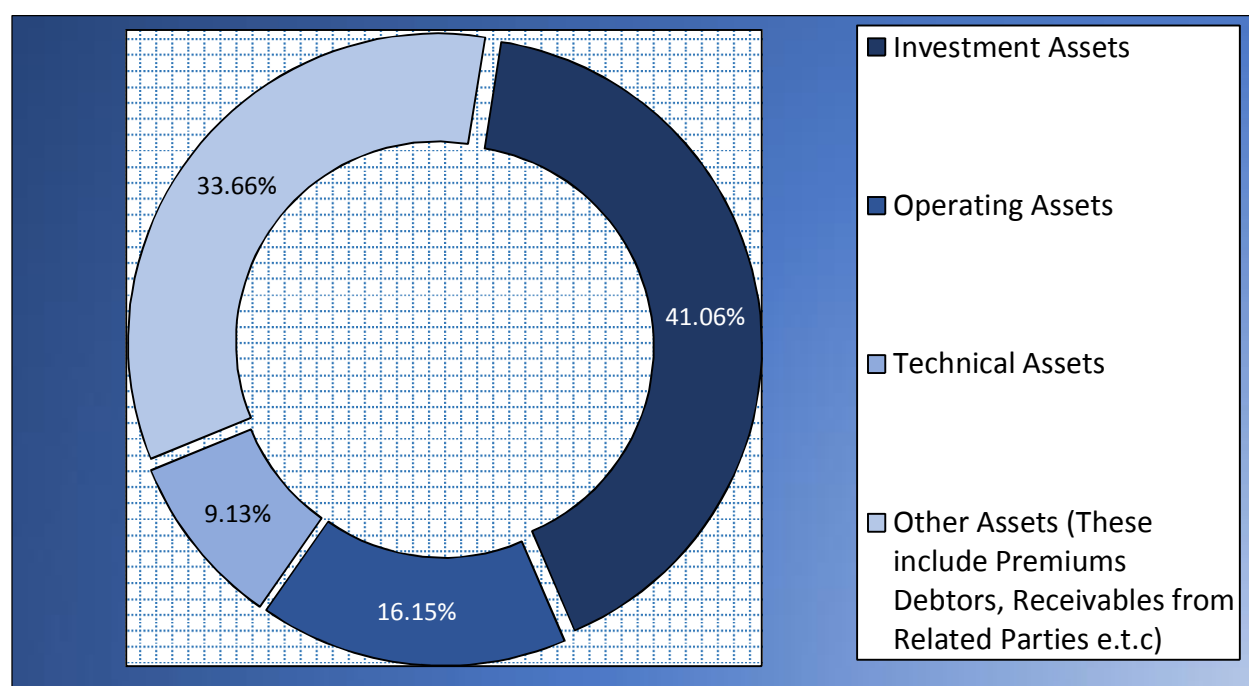
Figure 4: Quarterly Trend in Total Assets Since 2009



It has also been observed that premium debtors has over the years been generally on the downward trend from 31 March to 30 September. By implication, it could thus be concluded that the downward trend could be attributable to writing off of premium debtors that will have proven uncollectable as the year progresses. On the other hand, when insurers renew their annual policies in the last quarter as well as the first quarter of each year, there is a tendency to build up assets in the form of deferred acquisition costs net of unearned commission reserves from the renewed policies. As the same policies run through their annual terms the deferred acquisition costs net of unearned commission reserves balances also run down, hence the general decrease in total assets for the periods from 31 March to 30 September.

There were no significant changes in the distribution of total assets for non-life insurers during the quarter under review. Total assets remained skewed towards investments and operating assets and the two asset classes constituted a total of 57.09% of total assets. There was an improvement, though insignificant, in the proportion of total assets attributable to investments from 39.39% as at 30 June 2014 to 41.48% as at 30 September 2014. Total investment assets increased from \$69.42 million as at 30 June 2014, to \$70.37 million as at 30 September 2014.

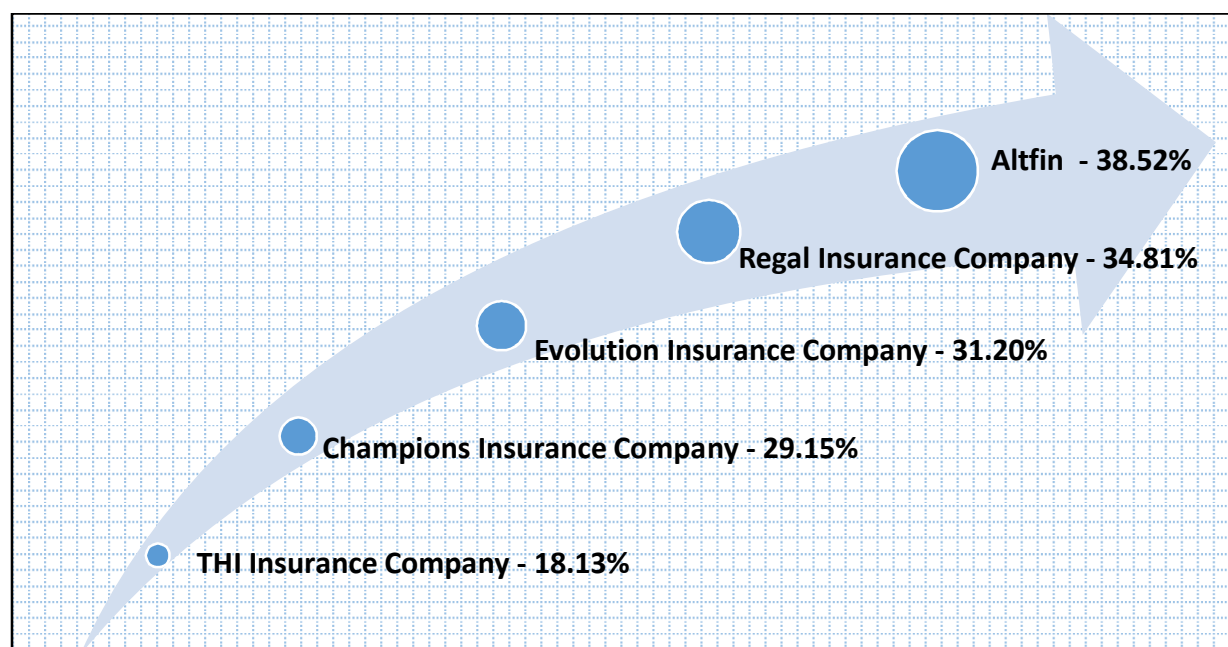
Figure 5: Breakdown of Short-Term Insurers' Total Assets



NB: Operating Assets are those assets acquired for insurers' own use in the conduct of ongoing operations. Technical assets refers to reinsurers' share of outstanding claims and deferred acquisition cost.

Although there was an increase in investments, as alluded to above, the level of investments was considered to be inadequate to support all the liabilities directly emanating from the non-life insurance sector's core business which amounted to \$73.76 million as at 30 September 2014. The inadequacy of investments to cover insurance liabilities is aggravated by the quality of the assets where significant proportions of some insurers' assets are tied up in exposures to related parties mainly in form of loans (see Figure 6 below. See also the figures for other assets in Appendix 1B). Extension of loans to related parties is in total disregard of *section 29(3b) of the Insurance Act [Chapter 24:07]* which stipulates that funds from an insurance fund/pool shall not be applied directly or indirectly to any purposes other than those of the class of insurance business for which the insurance fund was established.

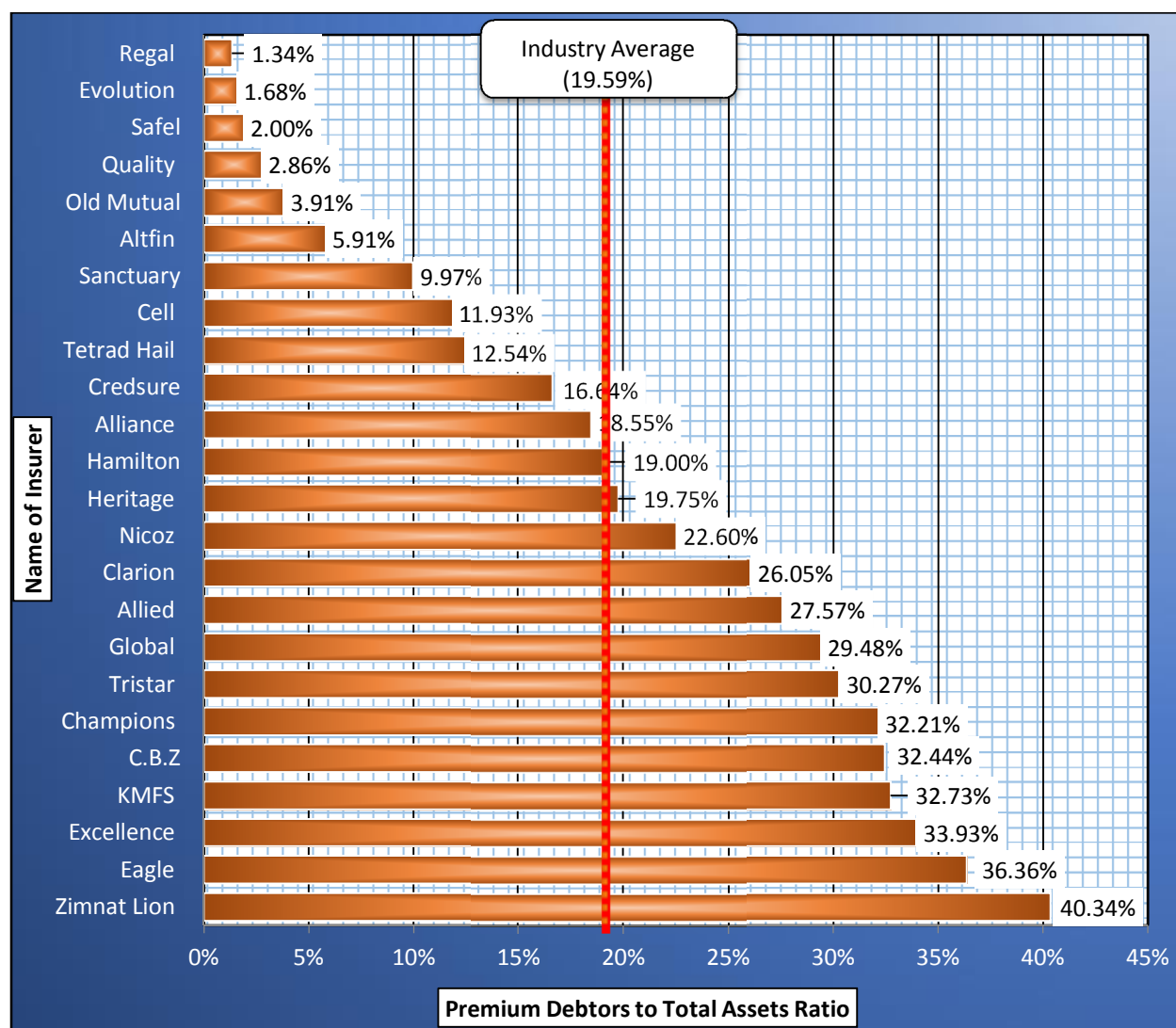
Figure 6: Insurers with the Highest Exposure to Related Parties over Total Assets Ratios



Further, the Commission has noted with concern that some insurers with significant proportions of their assets tied in related party exposures are not adequately capitalized in terms of Statutory 21 of 2013 as read in conjunction with Circular 1 of 2014. Exposures to related parties are non-admissible assets for calculation of capital, hence high levels of such exposures compromises compliance with minimum capital requirements and stipulated maximum investment thresholds issued by the Commission through Circular 2 of 2013. The Commission will not hesitate to deal with such insurers and where necessary, will invoke *section 22 of the Insurance Act*.

Related to the issue above is the aspect of premium debtors which continue to compromise the asset quality of non-life insurers since they reduce the interest earning capacity of insurers' assets. As at 30 September 2014, total premium debtors accounted for 19.59% of total assets, reflecting a marginal decrease from 22.81% reported as at 30 June 2014. The premium debtors to assets ratio for individual insurers ranged from 1.34% to 40.34% as shown in Figure 6 below.

Figure 7: Premium Debtors to Total Assets Ratios



Apart from the related party exposures and premium debtors highlighted above, the Commission has noted with concern cases where some non-life insurers have balance sheets that are mainly anchored on fixed assets (properties). This is evidenced by cases where insurers have reported investment in fixed assets to total assets ratios which are in excess of 60%. (See Appendix 1C).

Such a situation may result in asset-liability mismatch given that most obligations of non-life insurers are short term in nature. Such investment in properties are also in most cases not that productive with no meaningful rental income accruing from these properties.

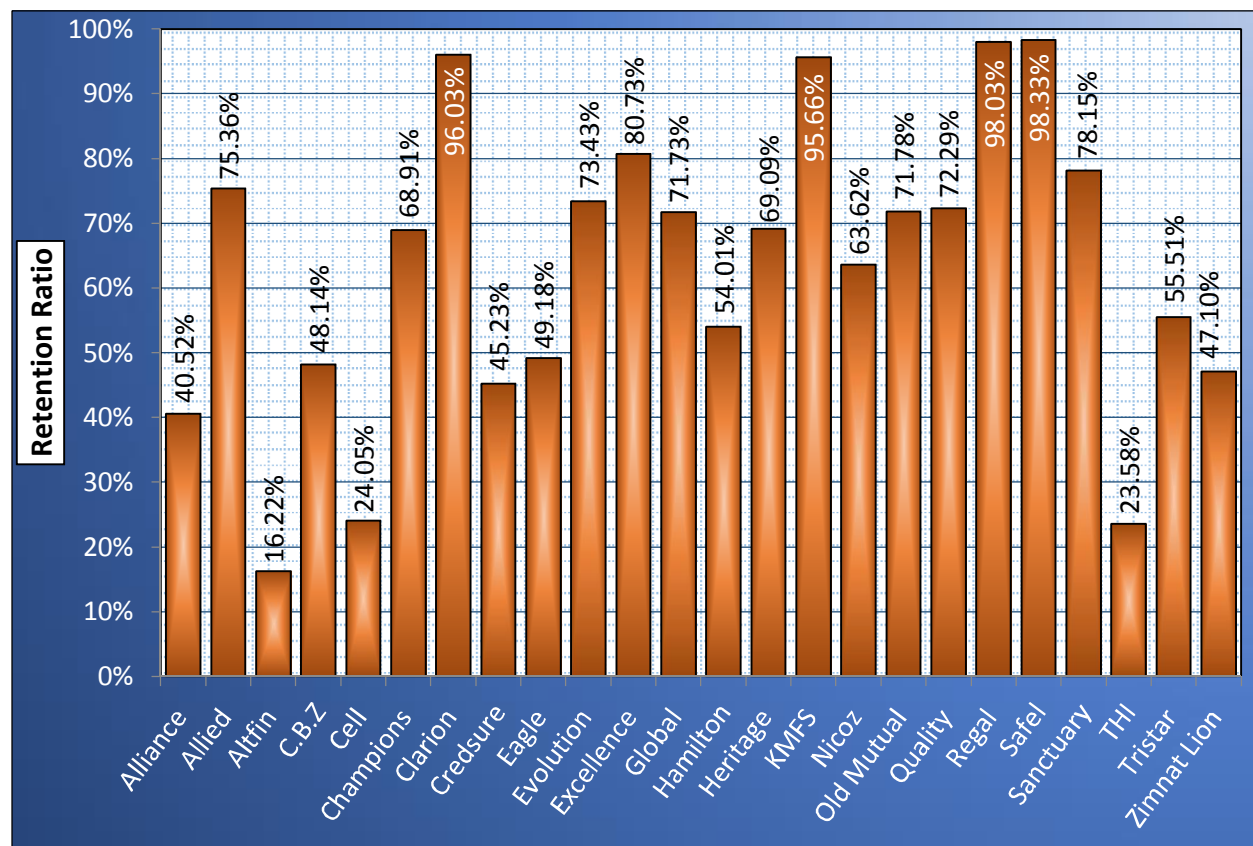
All insurers should start working towards compliance with the investment guidelines contained in Circular 2 of 2013 in a bid to enhance asset quality in a manner that improves asset-liability matching.

All non-life insurers remained non-compliant with the minimum prescribed assets ratio with an industry average prescribed asset ratio of 1.19% as at 30 September 2014 which was significantly below the regulatory minimum of 5%. Only ten (10) insurers out of the twenty four (24) operational insurers had investments in prescribed assets as at 30 September 2014. In a bid to support ZIMASSET, all non-life insurers are required to invest in prescribed assets up to a minimum of 5% failure of which the Commission will take action in terms of the *Insurance Act*.

1.5. Reinsurance

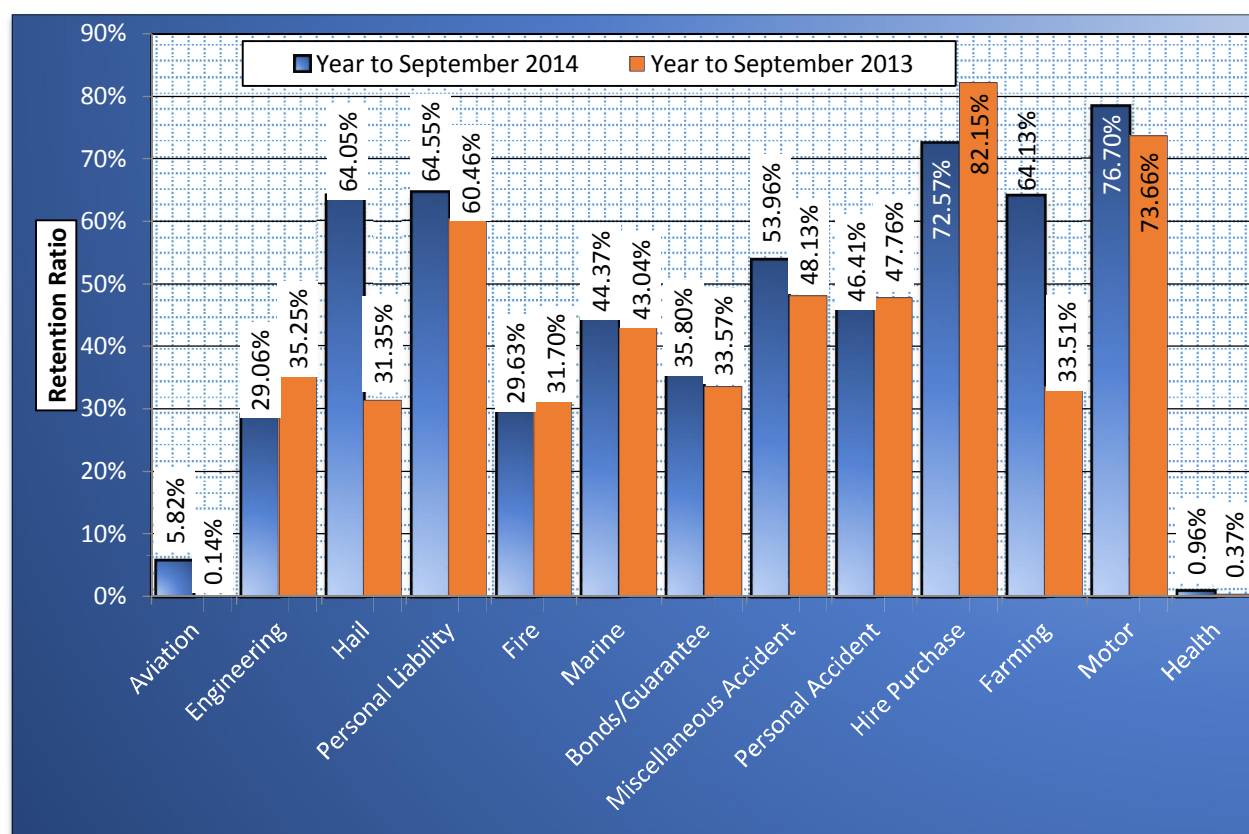
The risk appetite for non-life insurance players increased marginally as evidenced by the rise in the industry average retention ratio from 52.69% for the nine months ended 30 September 2013 to 55.57% for the nine months ended 30 September 2014. Retention ratios for individual insurers for the period under review range from 16.22% to 98.33% as shown in Figure 7 below. The low retention ratio reported by Altfin Insurance Company was mainly attributable to the cession of all unearned premiums as at 1 August 2014 to their reinsurers. This measure was taken as part of the Commission's initiatives to minimize prejudice to policyholders as the insurer continues to run off its book following suspension from initiating and renewing insurance policies.

Figure 8: Retention Ratios for Short Term Insurance Companies



Amongst all the business classes, motor and credit/hire purchase insurance recorded the highest retention ratios of 76.70% and 72.57% respectively, during the period under review, as shown in Figure 9 below. Health and aviation insurance, on the other hand, remained the business classes with the lowest retention ratios. Significant changes in risk appetite were observed in hail and farming insurance and this could be attributable to increase in risk appetite in the same business classes owing to low loss ratios compared to other classes.

Figure 9: Non-life Insurers' Average Retention Ratios for Different Classes of Business



There was a marginal deterioration in premium remittances by insurers to reinsurers as evidenced by an insignificant change in reinsurance creditors to reinsurance premiums from 33.43% for the nine months ended 30 September 2013 to 35.27% for the nine months period under review. The reinsurance creditors to reinsurance premium ratios for individual insurers ranged from nil to 267.73% (See Appendix 1C). Insurers with high reinsurance creditors to reinsurance premiums risk compromising the effectiveness of their reinsurance arrangements since reinsurers may not honour claims when premium payments are not up to date.

Out of all outstanding claims as at 30 September 2014, insurers were entitled to recover 54.43% from their respective reinsurers. Whilst this shows that the insurers are entitled to claim a large proportion of their claims from reinsurers, it also implies heightened exposure to inherent credit risk since the said reinsurers may fail to honour their obligations. More so given that if netting arrangements were to be effected, insurers were owing reinsurers a total of \$12.49 million which translated into a reinsurance debtors to reinsurance creditors' ratio of 47.95% as at 30 September 2014 which was significantly below the benchmark of 100%.

1.6. Actuarial Matters

The non-life insurance sector reported a 12.32% decrease in total provisions from \$52.96 million as at 30 June 2014 to \$46.43 million as at 30 September 2014. The decrease was attributable to a significant portion of unearned premiums reported as at 30 June 2014 amounting to \$7.15 million being earned during the quarter ended 30 September 2014.

The non-life insurance industry was overall considered to be having adequate assets in its insurance pool to cover all their technical provisions liabilities as at 30 September 2014. This is evidenced by the ratio of total reserves to total investment assets which was 65.99% as at 30 September 2014, and below the benchmark of 100%. However, this is subject to the quality of assets in the pool as already alluded to in section 1.4 above.

Although, the industry average total technical reserves to investment assets indicated that the industry has adequate resources to cover all their reserves, the ratio for individual insurers ranged from 15.49% to 541.11% with a median of 94.43%. A total of ten non-life insurers reported technical reserves to investment assets ratios which were above 100%, indicating that they may not be holding enough investment assets to cover their respective insurance liabilities. See Appendix 1C for the ratios in respect of all insurers.

Out of the ten insurers mentioned above, five insurers reported total outstanding claims (including IBNR) to investment assets which were above 100% indicating that the said insurers may not be holding adequate resources in their pools to cover outstanding claims. See Appendix 1C. This could be a result of undercutting as well as high levels of operating expenses which compromises the value of funds or resources being committed to the insurance pool.

All non-life insurers should take note of all actuarial matters raised in Circulars 1 and 8 of 2014.

1.7. Earnings

Total profit after tax for non-life insurers decreased by 16.36% from \$10.50 million for the nine months ended 30 September 2013 to \$8.79 million for the nine months ended 30 September 2014. The decrease in profit after tax was mainly driven by a \$4.37 million upsurge in operating expenses as well as a \$2.07 million increase in net incurred claims. Notwithstanding the overall profitability of the non-life insurance industry as a whole, a total of four (4) non-life insurers reported losses during the period under review. Refer to Appendix 1A for profit/loss after tax for all short term insurers.

In line with the decrease in profit after tax highlighted above, the industry average return on equity and return on assets deteriorated significantly from 17.72% and 7.01% for the nine months ended 30 September 2013 to 11.74% and 5.13% respectively for the nine months ended 30 September 2014.

Underwriting profits deteriorated from \$7.18 million for the nine months ended 30 September 2013, to \$6.67 million for the period under review mainly owing to an increase in operating expenses already highlighted above. The deterioration in underwriting profits is also confirmed by the increase in the combined ratio from 90.76% for the nine months ended 30 September 2013 to 92.16% for the period under review. Net claims incurred by non-life insurers for the period under review amounted to \$35.20 million of which \$32.72 million was actually paid to the respective policyholders. This translated into a loss ratio of 41.37% which shows an improvement from 42.69% which was reported in the comparative period in 2013. However, the improvement in the loss ratio was not enough to offset the deterioration in the expense ratio from 42.83% to 44.20%, hence the deterioration in the combined ratio.

Of all the business classes, motor, engineering and personal accident insurance reported the highest loss ratios of 45.18%, 44.34% and 36.64% respectively.

The ratio of investment income to net premium written during the period under review was 3.53%. This ratio was considered to be too low and may leave insurers significantly exposed the risk of failure to honour obligations without adverse effects on their capital should the combined ratios be in excess.

1.8. Liquidity

Total cash and near cash assets for non-life insurers increased from \$42.22 million as at 30 June 2014 to \$45.63 million as at 30 September 2014 owing to increased uptake of money market instruments by the non-life insurers. There was no change in the concentration of liquid assets with 57.79% of liquid assets being attributable to three insurers. The three insurers are Old Mutual Insurance Company, Alliance Insurance Company and Nicoz Diamond Insurance Company which held 31.73%, 15.07% and 10.99% of total cash and cash equivalents.

Total working capital (excess of current assets over current liabilities) increased from \$27.53 million as at 30 June 2014 to \$30 million as at 30 September 2014. Although the non-life insurance sector as a whole witnessed the improvement in its working capital, a total of five (5) direct insurers reported negative working capital positions. In tandem with the increase in working capital, the current ratio improved from 129.52% as at 30 June 2014 to 134.25% as at 30 September 2014.

The liquidity of non-life insurers after factoring out less liquid assets such as premium debtors improved as shown by the increase in the acid test ratio from 46.02% as at 30 June 2014 to 52.28% as at 30 September 2014. Notwithstanding the improvement, a ratio of 52.28% indicates that the market may not be able to settle all its current liabilities timeously should it be called to do so.

Individual insurers reported acid test ratios ranging from 0.03% to 196.12% with a median of 28.17%. See Appendix 1C for more information. Insurers with low acid test ratios may face challenges in settling claims timeously. Insurers who reported low acid test ratios do not have enough liquid assets on their books. By implication, such insurers' asset allocation may be significantly out of sync with the maximum thresholds stipulated by the Commission in Circular 2 of 2013 thereby compromising asset and liability matching. Whilst the date to comply with the said thresholds has been moved to 2015, all insurers should ensure compliance since the Commission does not have any appetite to further postpone compliance date.

1.9. Market Share for Non-life Insurers

The short term insurance sector recorded Herfindahl indices of 0.09 and 0.10 in terms of GPW and NPW reported for the period under review. Based on the indices above, the market for non-life insurers was considered unconcentrated in terms of GPW, while on the other hand, it was considered moderately concentrated in terms of NPW. Whilst relatively low Herfindahl indices are good for competition, if the same indices become too low relative to optimal levels, they may signify the existence of too many insurers in the market involved in cut throat competition. This may prejudice policyholders as some insurers may end up resorting to undercutting without the necessary resources to augment the low premiums being charged and unethical practices such as misselling and use of unregistered agents.

As shown in Figure 10 and 11 below, Old Mutual Insurance Company and Nicoz Diamond Insurance Company were the market leaders in terms GPW, NPW as well as total assets for the period under review. In terms of GPW, all the fourteen (14) insurers outside the top ten recorded a combined market share which was notably less than any one of the top three insurers.

Figure 10: Market Share for Insurers in Terms of GPW and NPW

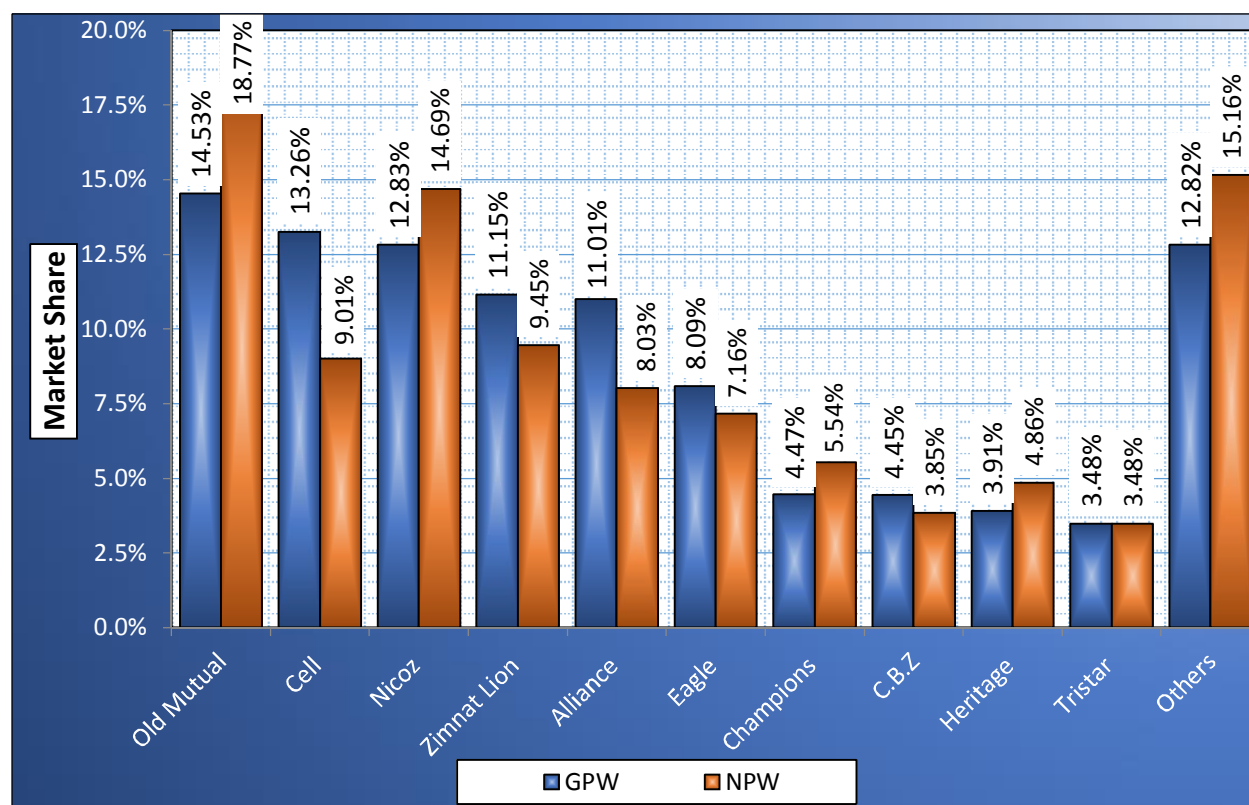
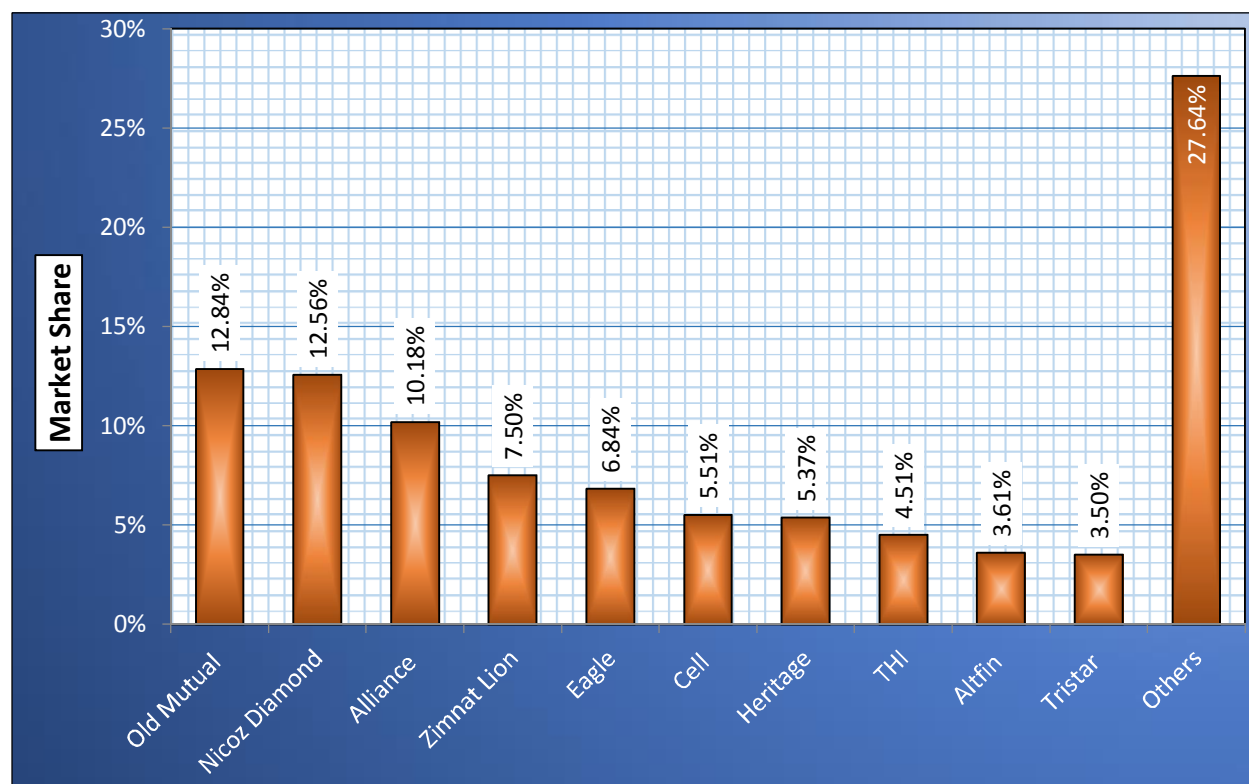


Figure 11: Market Share for Insurers in Terms of Total Assets



SECTION B

2. REINSURANCE COMPANIES

Please note that the figures for PTA Reinsurance Company (Zep-Re) used in this report are only for the institution's Zimbabwean Country Office and not for the company as a whole. PTA Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA members' states. The Country Office is supported by the balance sheet of Zep-Re as a whole company. As at 30 September 2014 total assets for Zep-Re amounted to \$247.59 million.

2.1. Number of Non-life Reinsurers

There were nine (9) registered non-life reinsurers as at 30 September 2014, reflecting no change in the number of reinsurers that were registered as at 30 June 2014.

2.2. Trend and Distribution of Business Written

The volume of business written by non-life increased marginally as evidenced by a 2.07% growth in gross premium written (GPW) that was recorded from \$78.39 million for the nine months ended 30 September 2013 to \$80.02 million for the nine ended 30 September 2014. The increase was mainly driven by a \$3.21 million upsurge recorded in GPW generated from fire insurance. On the other hand, the business retained by reinsurers on their books increased by 1.96% from \$55.8 million for the nine months ended 30 September 2013 to \$56.89 million for the period under review.

As shown in Figure 12 below, the growth in volumes of business generated slowed down considerably in 2014 compared to prior years, since the inception of the multicurrency regime. This was mainly because of the general slowdown in the economy at large since insurance usually follows the fortunes of the economy.

Figure 12: Trend in Business Written for the Year to 30 September Since 2010



As already alluded to under section 1, local insurers retained more business implying that the business generated by reinsurers from the local market shrunk significantly. Total premium ceded by local insurers to reinsurers decreased from \$72.58 million for the nine months ended 30 September 2013 to \$68.07 million for the period under review. In light of the foregoing, the growth in gross premium written by non-life reinsurers was therefore driven by business generated from outside the country. Gross premium written by reinsurers from outside Zimbabwe for the period under review amounted to \$8.48 million and accounted for 10.60% of total GPW.

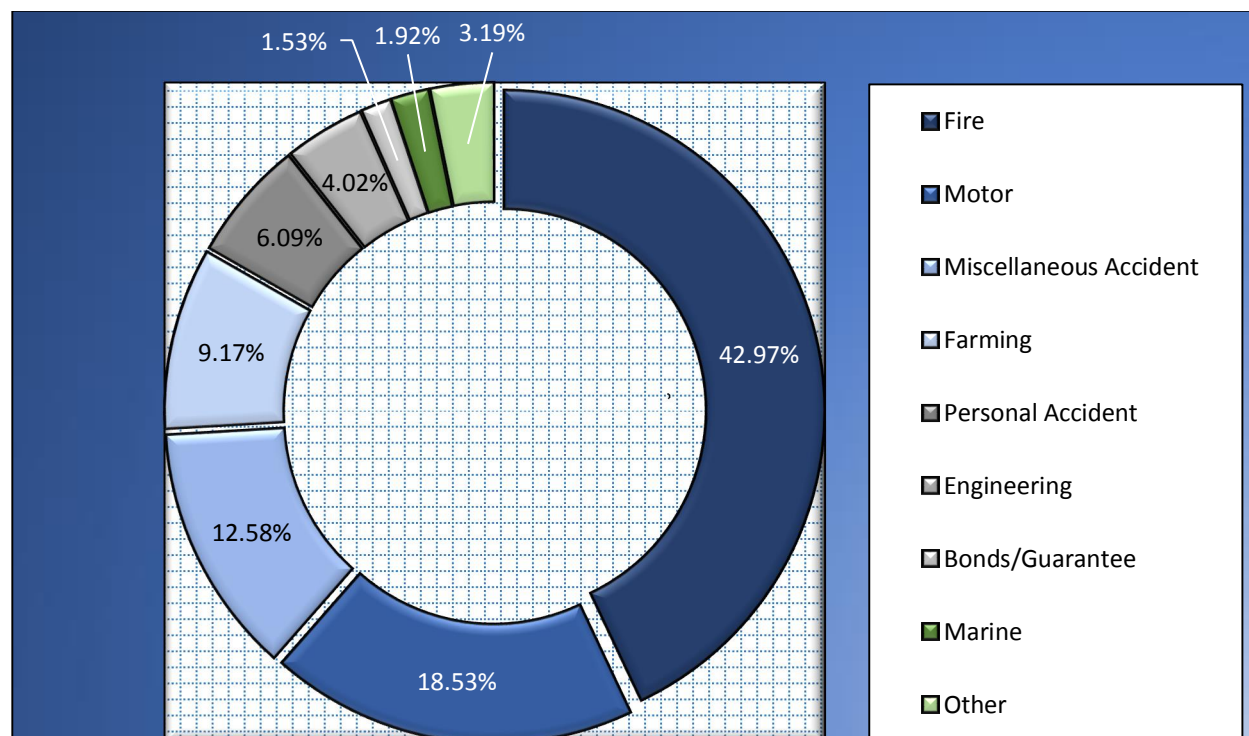
Health and hail insurance remained the fastest growing classes of business in terms of GPW while aviation and engineering insurance recorded the largest percentage decreases in GPW. Changes in the volume of business written in different classes are shown in Table 3 below.

Table 3: Reinsurers' Gross Premium Written by Class of Business

Class of Business	Gross Premium Written (\$)		Percentage Change
	30 September 2013	30 September 2014	
Aviation	1,152,882	571,236	-50.45%
Bonds/Guarantee	966,415	1,223,030	26.55%
Engineering	4,794,706	3,216,409	-32.92%
Farming	7,225,009	7,340,604	1.60%
Fire	31,174,577	34,381,528	10.29%
Hail	34,180	839,090	2,354.92%
Health	133,870	386,583	188.77%
Hire Purchase	48,842	64,804	32.68%
Marine	1,342,664	1,537,969	14.55%
Miscellaneous Accident	11,311,198	10,070,178	-10.97%
Motor	15,898,217	14,826,093	-6.74%
Personal Accident	3,709,473	4,872,374	31.35%
Personal Liability	599,645	688,156	14.76%
Total	78,391,678	80,018,054	2.07%

There were no significant changes in the distribution of business generated by reinsurers with fire and motor insurance accounting for the bulk of the business. Figure 13 below shows the proportions of business generated from different classes of business during the period under review.

Figure 13: Distribution of Reinsurers' GPW by Business Class



2.3. Capitalization

All registered non-life reinsurers, except New Reinsurance Company, reported capital positions which were compliant with the minimum regulatory capital requirement of \$1.5 million as at 30 September 2014. Engagements with New Reinsurance Company are ongoing with a view to have them regularize their capital position. Meanwhile the Commission urges all reinsurers to conduct self-assessments of their capital position in line with Circular 1 of 2014, to enable them to proactively put in place measures to ensure compliance where gaps are identified.

As at 30 September 2014, all the reinsurers reported solvency margins which were compliant with the prudential minimum of 25%. The industry average solvency margin was 93.60%. Please note that the ratio for Zep-Re was not considered since it only applies to the entity's Zimbabwe country office. Figure 14 shows the solvency margins for all reinsurers as at 30 September 2014.

Table 4: Capital Positions for Non-life Reinsurers

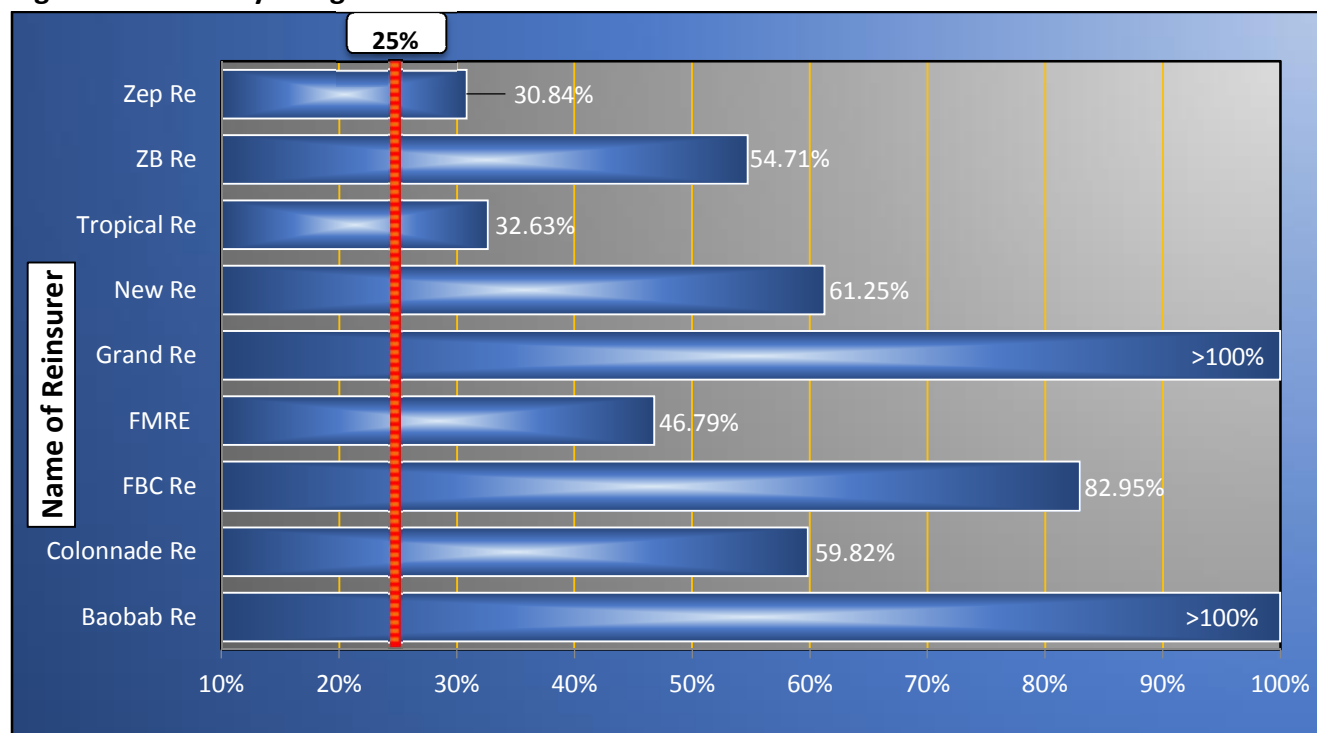
Name of Company	Reported Capital Position (\$)			
	31 Dec 2013	31 Mar 2014	30 Jun 2014	30 Sep 2014
Baobab Reinsurance Company	30,804,610	30,305,972	27,349,700	26,583,006
Colonnade Reinsurance Company	1,252,709	1,688,746	1,883,334	1,769,840
FBC Reinsurance Company	8,743,520	9,029,204	8,995,865	9,615,337
FMRE Property & Casualty	5,953,062	6,320,226	5,681,998	5,923,050
Grand Reinsurance Company	9,614,640	9,742,422	9,763,093	9,703,023
New Reinsurance Company	405,157	505,000	526,000	617,000
Tropical Reinsurance Company	2,470,228	2,778,270	2,916,200	3,122,590
ZB Reinsurance Company	6,966,423	7,220,570	7,814,990	8,147,760
PTA Reinsurance Company (Zep Re)*	626,075	732,756	1,337,454	2,403,046

*The figure only shows the position for the Zimbabwean country Office. The audited capital position for Zep Re as at 30 September 2014 was \$132.28 million.

Key:

	The reinsurer reported a capital position that was compliant with the minimum capital requirement of \$1.5 million.
	The reinsurer reported a capital position which is more than \$0.75 million but less than the minimum capital requirement of \$1.5 million.
	The reinsurer reported a capital position less than \$0.75 million.

Figure 14: Solvency Margin for Reinsurers

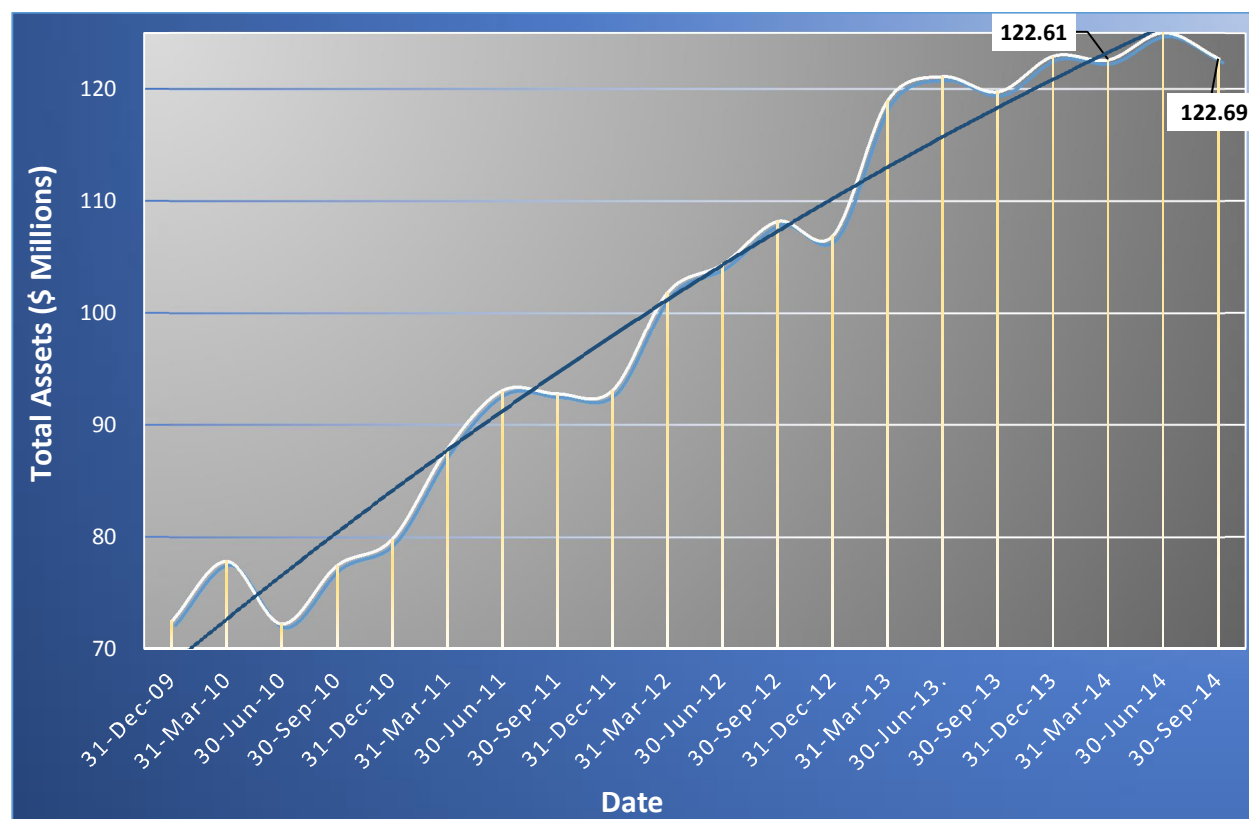


2.4. Asset Quality

Total assets for non-life reinsurers decreased by 1.87% from \$125.03 million as at 30 June 2014 to \$122.69 million as at 30 September 2014. The shrinkage in total assets was mainly attributable to decreases in premium debtors as well as retrocessionaires' share of outstanding claims which amounted to \$2.13 million and \$1.98 million respectively. The decrease in total assets driven by the shrinkage in premium debtors is in sync with norm since reinsurers ordinarily write off uncollectable premiums as they fall beyond 120 days in arrears.

Notwithstanding the decrease in total assets, the Commission noted with comfort, the increase in investment assets by \$2.05 million during the quarter under review which implies that reinsurers have more assets in their insurance funds/pools to meet their obligations. Figure 15 below shows the trend in total assets since 2009.

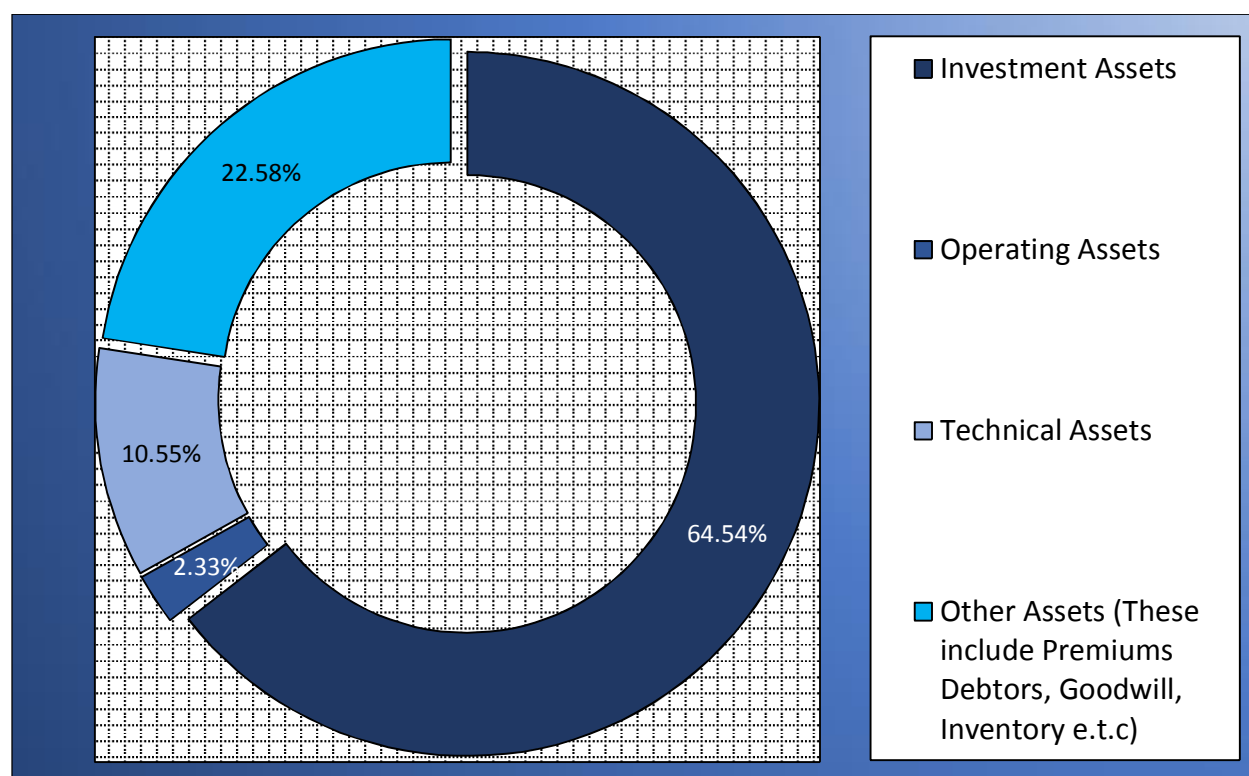
Figure 15: Trend in Total Assets for Non-life Reinsurers since 2009



There were no significant changes in the distribution of assets with the asset base for reinsurers remaining skewed towards investment assets as shown in Figure 16 below.

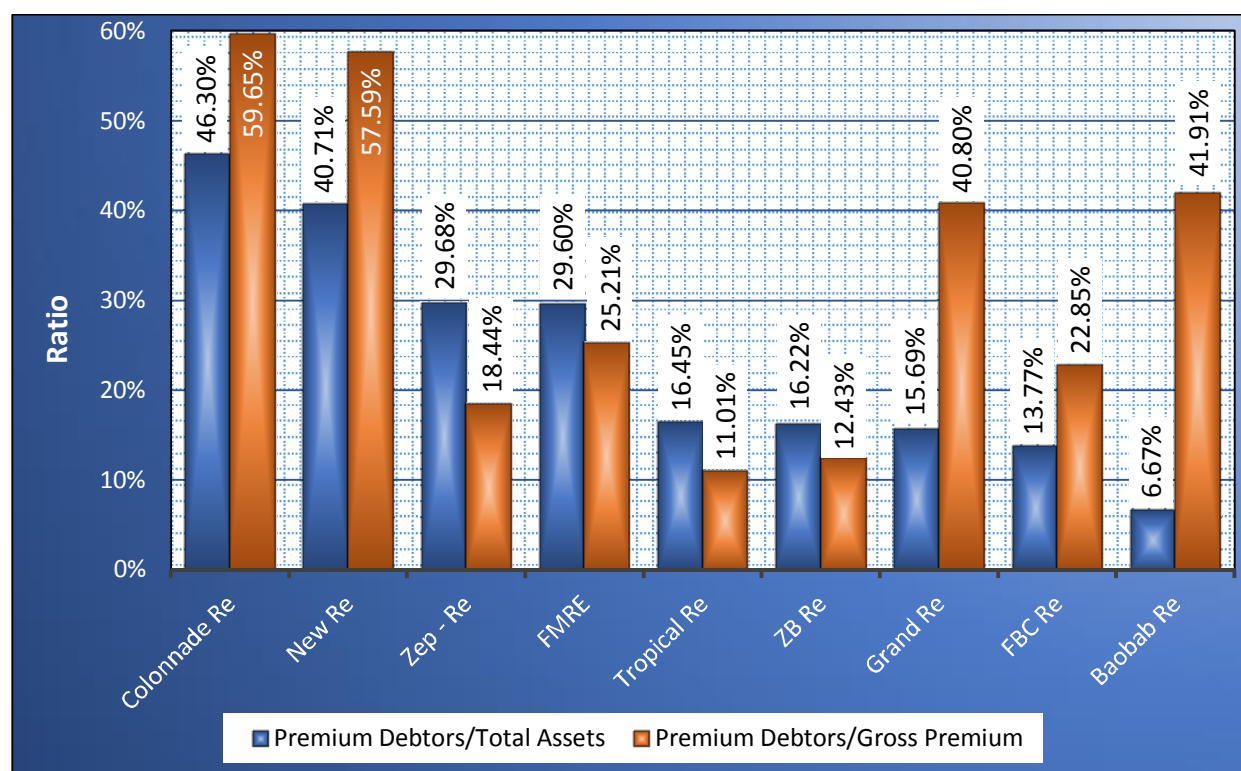
It is important to note that the proportion of total assets attributable to investment assets increased from 61.70% as at 30 June 2014 to 64.54% as at 30 September 2014 in line with increase in investments already alluded to above. The asset quality for non-life reinsurers as at 30 September 2014 compares favourably with that of direct non-life insurers which indicated that only 41.48% was attributable to investment assets. Figure 16 below shows the distribution of reinsurers' total assets as at 30 September 2014.

Figure 16: Breakdown of Non-life Reinsurers' Total Assets



Although the Commission acknowledges the cleaning up of reinsurers' balance sheets through writing off of premium debtors already alluded to above, some reinsurers remained with significant proportions of their assets tied up in premium debtors. Such a scenario compromises the asset quality of reinsurers since the premium debtors may not provide the much needed liquidity to allow the said assets to support day to day operations. Thus, such reinsurers' assets may not match their respective liabilities. The Commission has noted with concern that some reinsurers with the highest premium debtors to assets ratios also have weak capitalization positions, a situation which may result in the respective reinsurers failing to meet their obligations.

Figure 17: Premium Debtors to Assets and Premium Debtors to GPW Ratios

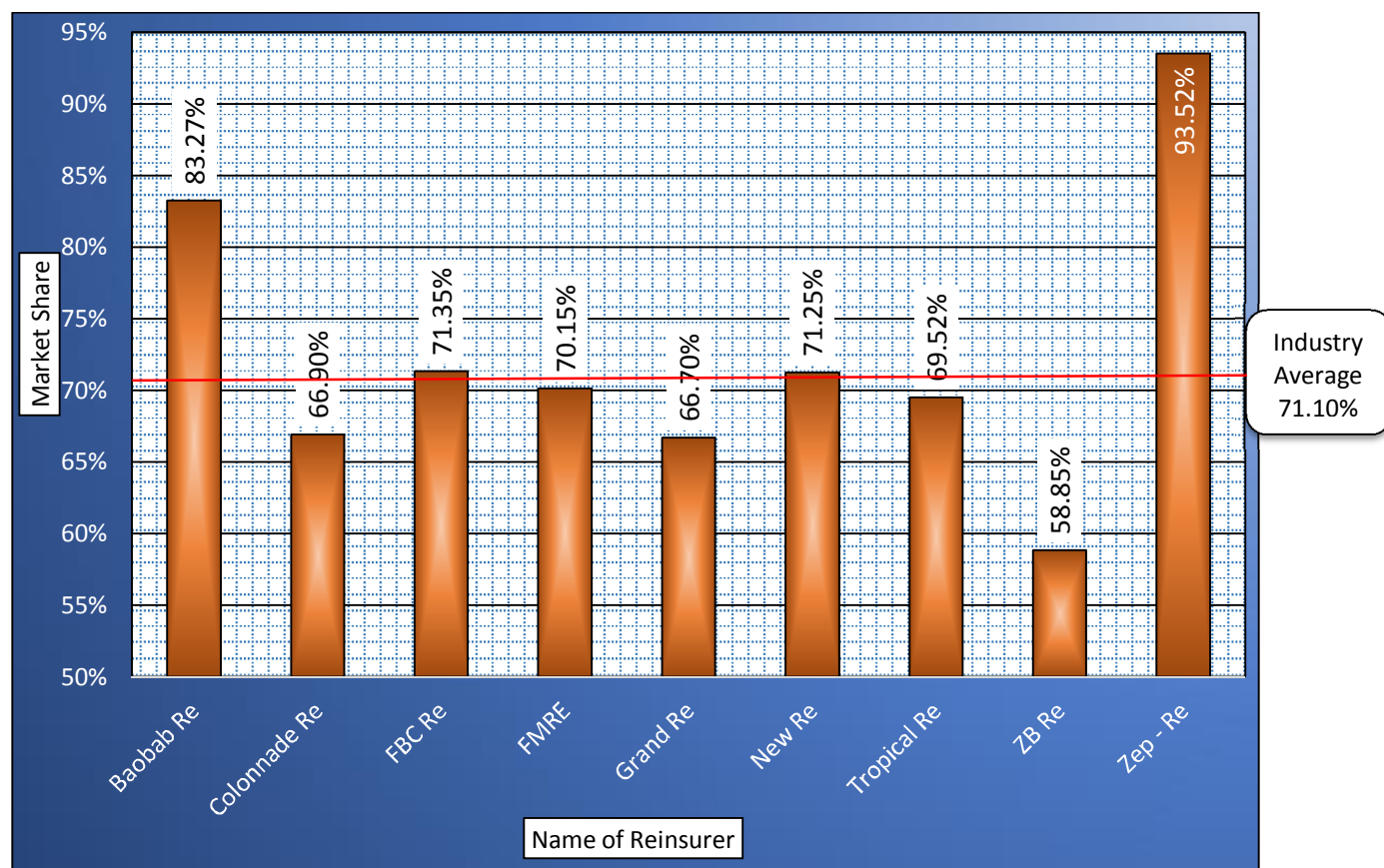


The industry average prescribed assets ratio for reinsurers was 1.67% as at 30 September 2014, reflecting an improvement from 1.45% reported as at 30 June 2014. Notwithstanding the improvement in the average prescribed assets ratio, the industry as a whole remained non-compliant with the regulatory minimum of 5%. Only FBC Reinsurance Company reported a prescribed asset ratio which was compliant with the prescribed minimum. Four (4) of the reinsurers did not have any investments in prescribed assets.

2.5. Retrocession

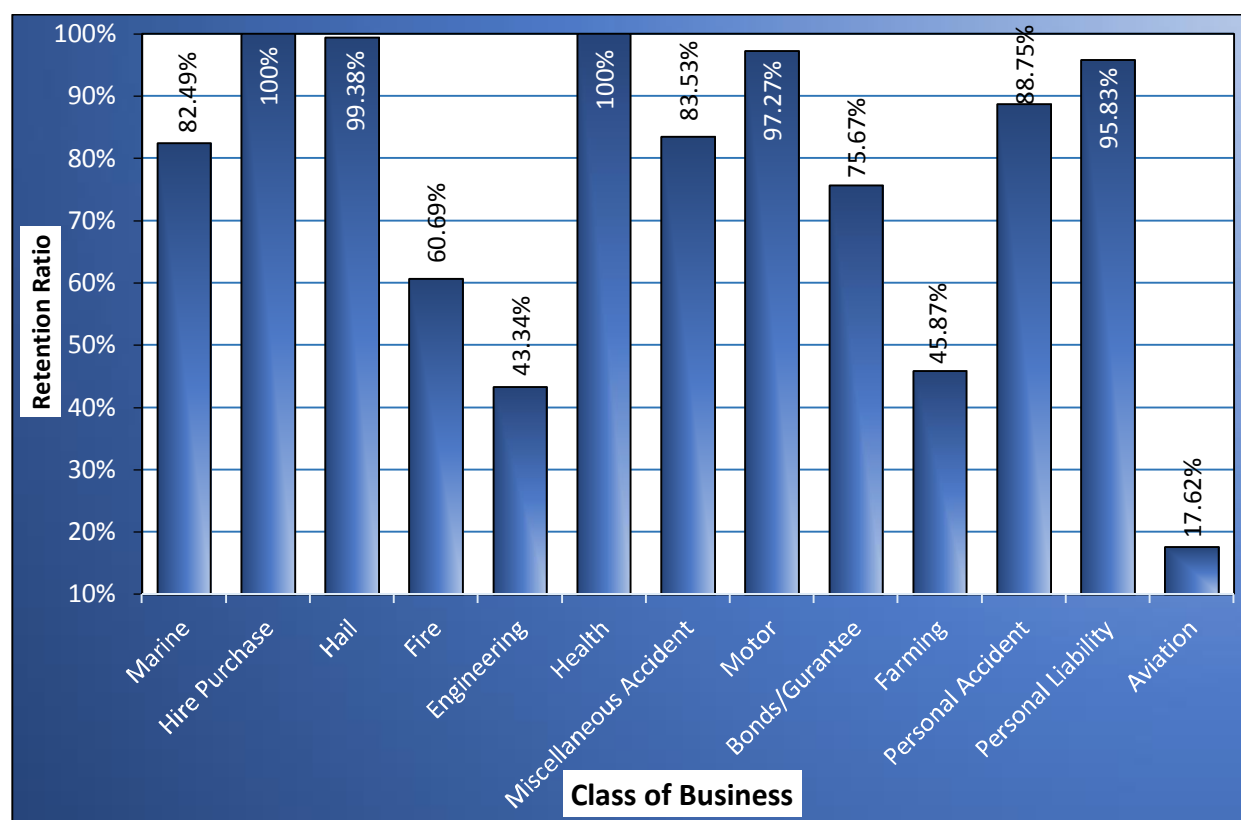
The risk appetite for non-life reinsurers remained largely unchanged as evidenced by negligible changes in the industry average retention ratio from 71.18% for the nine months ended 30 September 2013 to 71.1% for the comparative period in 2014. Insignificant changes in the risk appetite of non-life reinsurers translated into negligible changes in the business placed by the reinsurers outside Zimbabwe. This is indicated by the marginal increase in total retrocession premiums from \$22.59 million for the nine months ended 30 September 2013 to \$23.12 million for the period under review. As shown in Figure 18 below retention ratios for individual non-life reinsurers ranged from 58.85% to 93.52%.

Figure 18: Retention Ratios for Reinsurers



Of all business classes, health and hire purchase continued to record the with highest retention ratios owing to adequate capacity by the local reinsurers in the same business classes. On the other hand engineering and aviation reported the lowest retention ratios of 43.34% and 17.65% respectively. Figure 19 below shows the non-life reinsurers' average retention ratios in different classes for the period under review.

Figure 19: Retention Ratios by Class of Insurance Business



The non-life reinsurers' sector reported a marked improvement in remittances to respective retrocessionaires. This is evidenced by the decrease in the retrocession creditors to retrocession premium from 57.61% as at 30 September 2013 to 42.93% as at 30 September 2014. Notwithstanding the above improvement Baobab Reinsurance Company and New Reinsurance Company still recorded retrocession creditors to retrocession premium ratios which were above 100%. The above mentioned reinsurers, together with FMRE Property and Casualty also reported retrocession debtors which were not adequate to cover all the retrocession creditors as indicated by the ratio of retrocession debtors to retrocession creditors ratios which were below 100%. Such a scenario may compromise their retrocession cover should netting arrangements be effected. The retrocession creditors to retrocession premium ratio for individual reinsurers ranged from nil to 457.35% as at 30 September 2014, as shown in Appendix 2C.

Retrocessionaires' share of outstanding claims accounted for 56.34% of total outstanding claims as at 30 September 2014 reflecting no significant change from 57.22% that was reported as at 30 June 2014. Whilst the ratio of 56.34% implies that the reinsurers will be entitled to recover a huge proportion of their outstanding claims from retrocessionaires, it also indicates that the reinsurers were exposed to significant inherent credit risk arising out of their retrocession arrangements.

2.6. Actuarial Matters

Total provisions for non-life reinsurers decreased from \$29.32 million as at 30 June 2014 to \$28.43 million as at 30 September 2014 on the back of the running down of unearned premium reserves. Total technical reserves for reinsurers represented only 35.91% of total investment assets. This shows that, on average the reinsurers had adequate assets in their insurance pool to liquidate all their insurance liabilities should the need arises. All individual reinsurers reported total technical reserves to investment assets ratios which were below 100% indicating that they have adequate assets to cover their liabilities.

The industry average total outstanding claims (including IBNR) to investment assets was 25.26% as at 30 September 2014, further indicating that the reinsurers had adequate resources to back their insurance liabilities.

2.7. Earnings

Non-life reinsurers reported a 78.64% decrease in total profits after tax from \$6.50 million for the nine months ended 30 September 2013 to \$1.39 million for the nine months ended 30 September 2014. The decrease in profit after tax was mainly attributable to increases in net incurred claims from \$18.10 million for the nine months ended 30 September 2013 to \$23.79 million for the period under review as well as shrinkage in investment income from \$2.52 million to \$1.46 million. Of all the reinsurers, only one reinsurer reported losses during the period under review. See Appendix 2A for the profit/(loss) positions in respect of all reinsurers.

In line with the decrease in profit after tax, the industry average return on equity and return on assets decreased significantly from 9.9% and 5.43% for the nine months ended 30 September 2013 to 2.07% and 1.13% respectively for the period under review.

The increase in net incurred claims, alluded to above, led to significant deterioration in the industry average loss ratio from 34.43% for the nine months ended 30 September 2013 to 42.65% for the period under review. Engineering and motor insurance recorded the highest loss ratios of 87.33% and 68.84%. The increase in loss ratio resulted in a combined ratio of 95.99% for the nine months ended 30 September 2014 reflecting a significant deterioration from 89.62% reported in the comparative period in 2013. The increase in the combined ratio indicates that the core business of reinsurers, i.e. underwriting, underperformed in terms of profitability in the nine months to 30 September 2014 compared to the same period in 2013.

The industry average investment income to net premium written ratio was 1.38% for the period under review. Whilst the ratio indicates that the reinsurers' income was mainly generated from their core business, which indicates sustainability of income, the low ratio also indicates constrained capacity of reinsurers to augment underwriting income with investment income. More so given that the reinsurers' investment assets recorded a low return of only 0.99%.

2.8. Liquidity

There was a significant change in the value of current assets in excess of current liabilities as shown by a 23.04% increase in total working capital from \$18.04 million as at 30 June 2014 to \$22.20 million as at 30 September 2014. Total cash and near cash assets for non-life reinsurers increased from \$24.23 million as at 30 June 2014 to \$29.30 million as at 30 September 2014. FBC Reinsurance Company, ZB Reinsurance Company and FMRE Reinsurance Company contributed 74.51% of total cash and near cash assets indicating that liquidity was concentrated in a few reinsurers.

The increase in working capital translated into an improvement in the current ratio from 134.63% as at 30 June 2014 to 146.85% as at 30 September 2014. On the other hand the industry average acid test ratio for reinsurers improved from 46.53% as at 30 June 2014 to 57.52% as at 30 September 2014. Such an improvement is commendable. The acid test ratio for individual non-life reinsurers as at 30 September 2014 ranged from 0.07% to 194.14%. See Appendix 2C for key liquidity indicators in respect of all reinsurers.

2.9. Market Share for Reinsurers

The non-life reinsurance market remained moderately concentrated in terms of business generated with Herfindahl Indices of 0.15 and 0.14 in respect of gross premium written and net premium written for the nine months ended 30 September 2014 respectively.

The top three reinsurers in terms of business written namely ZB Reinsurance Company, FMRE Property and Casualty, and FBC Reinsurance Company accounted for combined market shares totaling 56.40% and 52.44% of gross premium written and net premium written respectively.

On the other hand, Baobab Reinsurance Company, FBC Reinsurance Company and ZB Reinsurance Company were the market leaders in terms of total assets with a combined market share of 64.48%.

Figure 20 and 21 below depicts the market shares for all reinsurers.

Figure 20: Market Share for Reinsurers in Terms of GPW and NPW

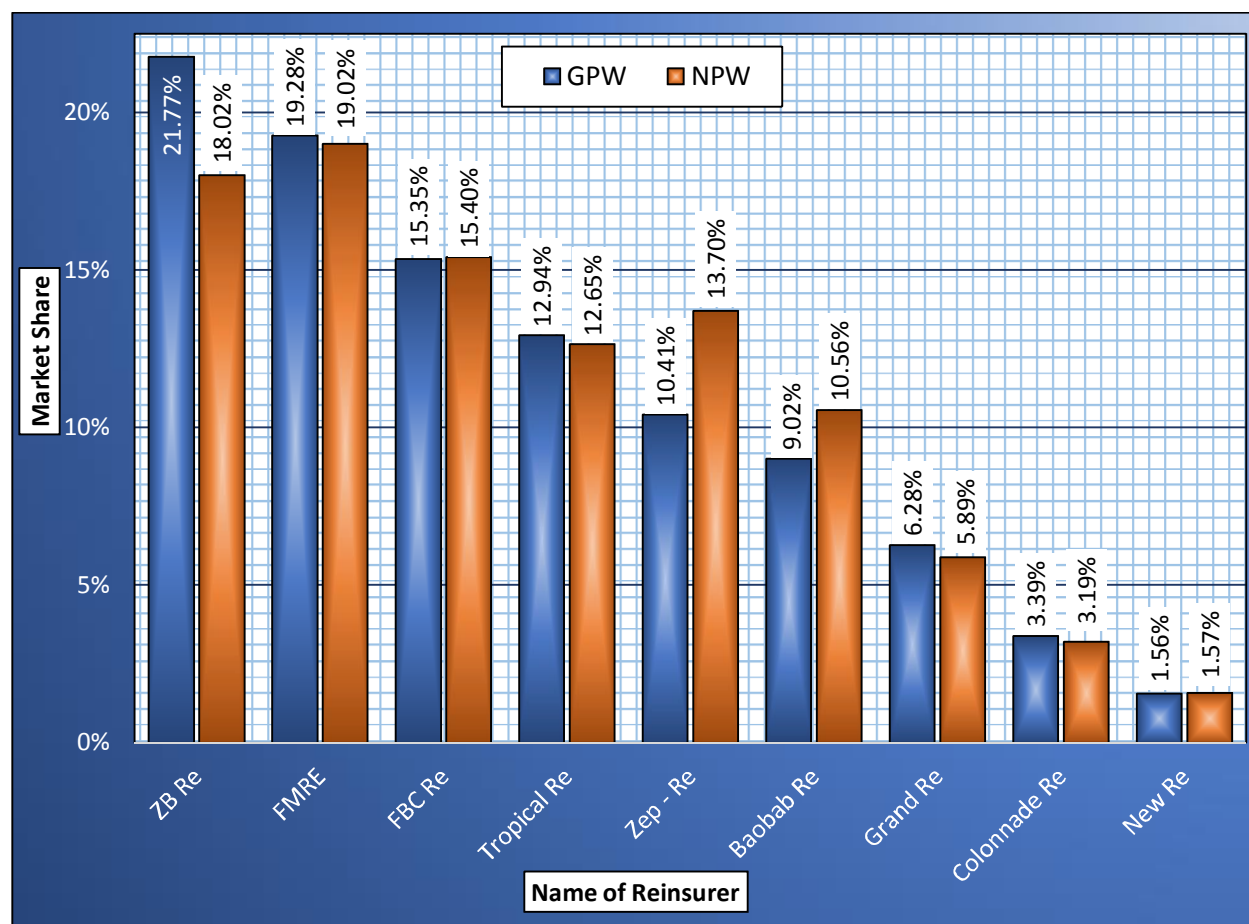
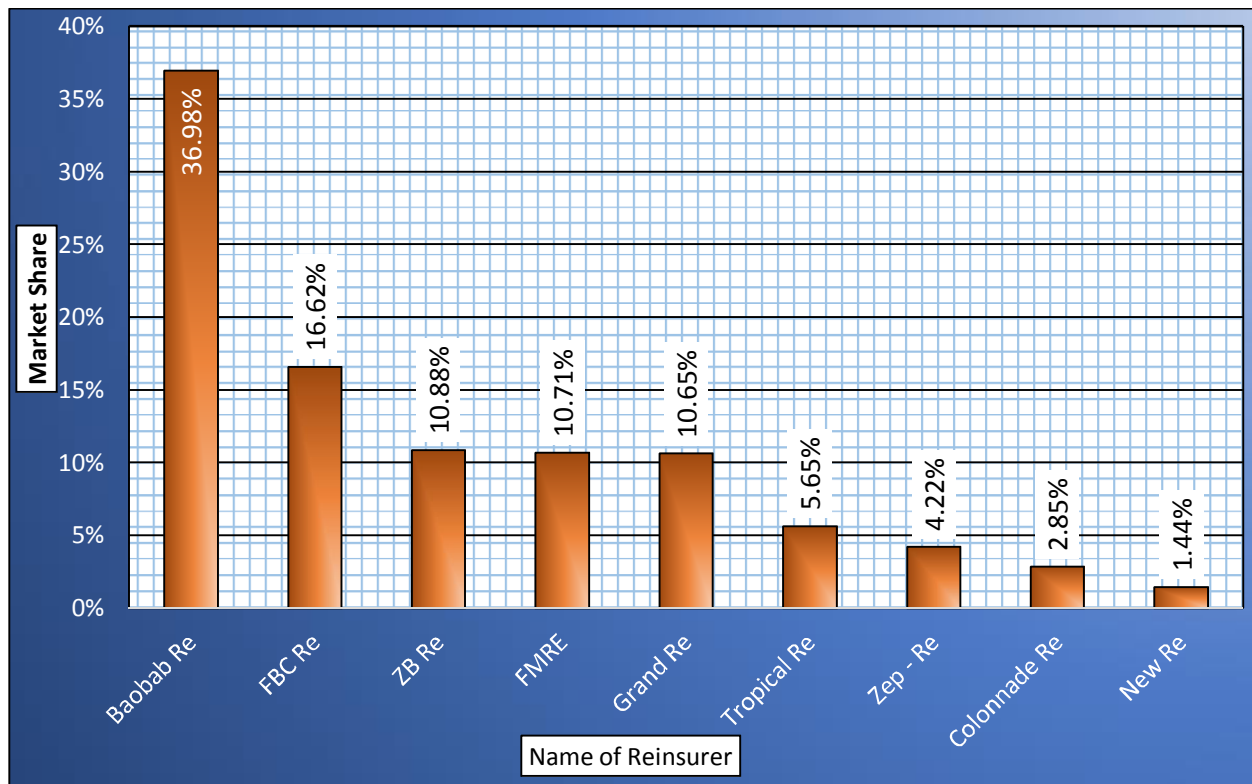


Figure 21: Market Share for Reinsurers in Terms of Total Assets



SECTION C

3. INSURANCE BROKERS

3.1 Number of Insurance Brokers

There were thirty one (31) registered insurance brokers as at 30 September 2014 reflecting no change from the number reported as at 30 June 2014. Coverlink Insurance Brokers was registered during the quarter review, while Afro-Asian Reinsurance Brokers ceased conducting insurance broking to resume reinsurance broking operations hence no change in the number of registered insurance brokers.

Out of the thirty one (31) registered insurance brokers only twenty seven (27) were operational as at 30 September 2014. Revival Insurance Brokers, Excel Risk Solutions and Coverlink Insurance Brokers were yet to get authorization from the Commission to commence operations pending satisfying pre-opening requirements. Navistar Insurance Brokers is still under suspension. The insurance broker is currently under voluntary judicial management.

3.2 Business Written

Insurance brokers handled business with premium worth \$63.78 million for the nine months ended 30 September 2014 compared to \$72.62 million reported in the comparative period in 2013. The business generated by insurance brokers constituted 41.63% of total gross premium written by non-life insurers during the period under review indicating that the insurers generated the bulky of their business through agents and other customers they dealt with directly.

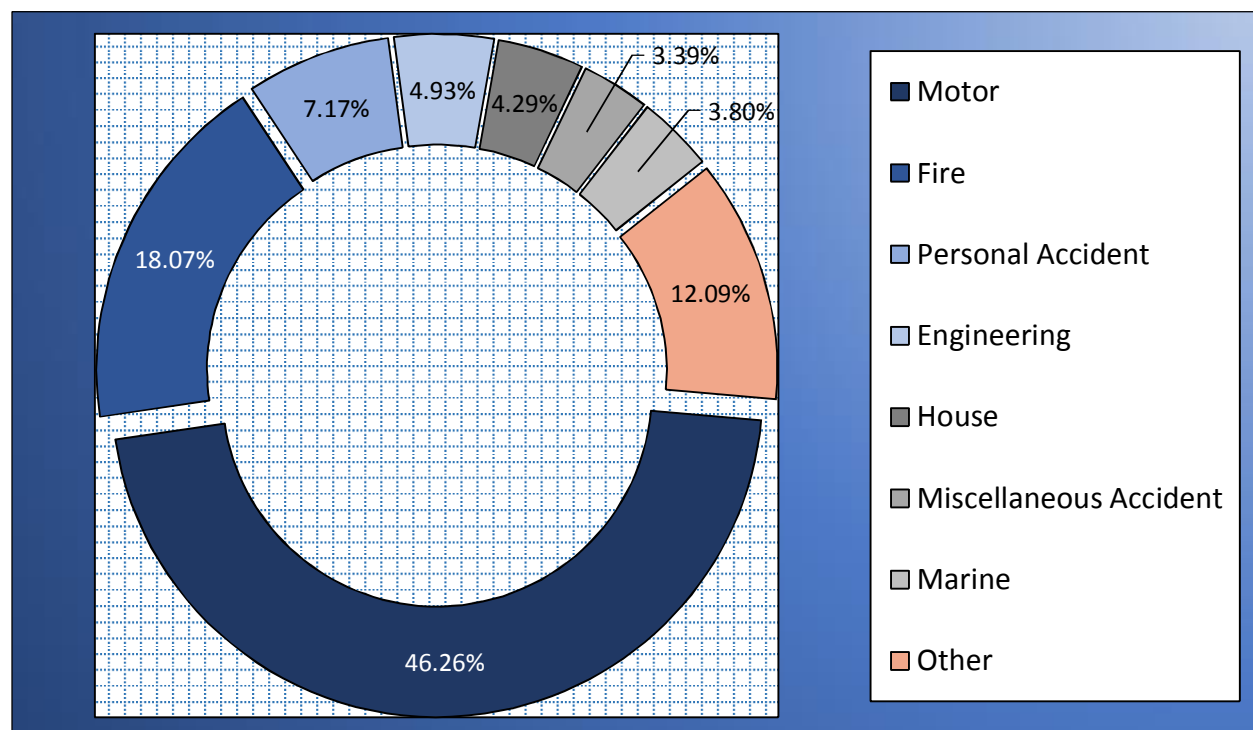
The insurance brokers earned \$11.87 million in brokerage commission from the business they handled. This translated into an average commission rate of 18.61% that was due from insurance companies. After incurring \$0.67 million as outward commission in respect of agents commission, the brokers had a resultant net brokerage income of \$11.19 million. Table 5 below shows some of the indicators of the business written by the insurance brokers.

Table 5: Indicators of Business Written for Insurance Brokers

Indicator	30 Sep 2013	30 Sep 2014	Percentage Change
Premium Written	72,616,329	63,778,876	-12.17%
Brokerage Commission	13,186,659	11,867,501	-10.00%
Premium Written Less Commission	59,429,669	51,911,374	-12.65%
Commission Incurred	484,673	673,447	38.95%
Net Brokerage Commission	12,701,987	11,194,055	-11.87%
Other Income	1,230,114	1,041,053	-15.37%
Operating Expenses	12,641,556	11,312,714	-10.51%
Profit Before Tax	1,290,545	922,394	-28.53%
Taxation	335,500	234,559	-30.09%
Profit After Tax	955,045	687,835	-27.98%

Motor and fire insurance remained the dominant sources of business accounting for a total of 64.33% of business generated during the nine months ended 30 September 2014. Figure 21 below shows the distribution of business generated during the period under review.

Figure 22: Distribution of Insurance Brokers' Gross Premium Written by Business Class



3.3 Capitalization

All operating insurance brokers except Minerva Risk Solutions and Rainbow Insurance Brokers reported capital positions which were above \$100,000 as at 30 September 2014 as shown in Table 6 below. The significant decline in the capital position for Minerva Risk Solutions was mainly attributable to the removal of retained earnings for years prior to the entity operating as a separate legal entity from the holding company. The said retained earnings were accounted for under the holding company.

The capital positions for the individual insurance brokers ranged from negative \$0.92 million to \$1.19 million as shown in table 6 below. The median capital position as at 30 September 2014 was \$171,970. The trend in capital position for all the operating insurance brokers is shown in Table 6 below.

Table 6: Reported Capital Levels for Insurance Brokers

Name Insurance Broker	31-Dec-13	31-Mar-14	30-Jun-14	30-Sep-14
1. Alexander Forbes Risk Services	531,600	559,301	516,511	442,789
2. Ambassador Insurance Brokers	126,976	126,976	127,008	127,008
3. Amour Khan Insurance Brokers	138,323	136,481	132,465	141,273
4. Auto & General Insurance Brokers	445,980	434,100	434,150	434,791
5. Broksure Insurance Brokers	103,050	103,813	100,719	100,734
6. Capitol Insurance Brokers	598,614	599,889	600,819	604,169
7. Care Insurance Brokers	121,841	180,389	201,081	159,727
8. Eaton & Youngs (Private) Limited	441,502	433,289	446,027	450,030
9. Eureka Insurance Brokers	330,873	307,549	311,133	247,323
10. Glenrand MIB Zimbabwe	284,631	155,996	249,998	200,803
11. Goldstick Insurance Brokers	103,164	70,489	176,790	162,551
12. Hostcare Insurance Brokers	146,645	145,800	146,557	145,800
13. HRIB (Private) Limited	225,452	340,141	389,117	284,235
14. Hunt Adams & Associates	105,002	116,789	103,751	127,720
15. Insuraserive (Private) Limited	85,669	79,265	163,646	163,646
16. L. A. Guard Insurance Brokers	102,290	97,700	108,384	102,541
17. Marsh Insurance Brokers	781,239	978,757	1,080,415	1,192,965

Name Insurance Broker	31-Dec-13	31-Mar-14	30-Jun-14	30-Sep-14
18. Minerva Risk Solutions	808,157	904,106	516,027	(915,996)
19. Momentum Insurance Brokers	506,492	515,260	515,260	515,260
20. Paul Mkondo Insurance Brokers	161,465	126,484	126,484	190,720
21. Perpro Insurance Brokers	162,003	172,697	183,461	171,970
22. Progressive Insurance Brokers	726,971	686,900	724,314	740,717
23. Rainbow Insurance Brokers	7,004	14,443	11,346	12,317
24. SATIB Insurance Brokers	50,111	195,683	187,426	157,756
25. TIB Insurance Brokers	102,662	104,892	107,021	100,147
26. Victory Insurance Brokers	408,610	397,467	390,054	419,033
27. Zimbabwe Insurance Brokers	264,250	318,981	217,115	199,712

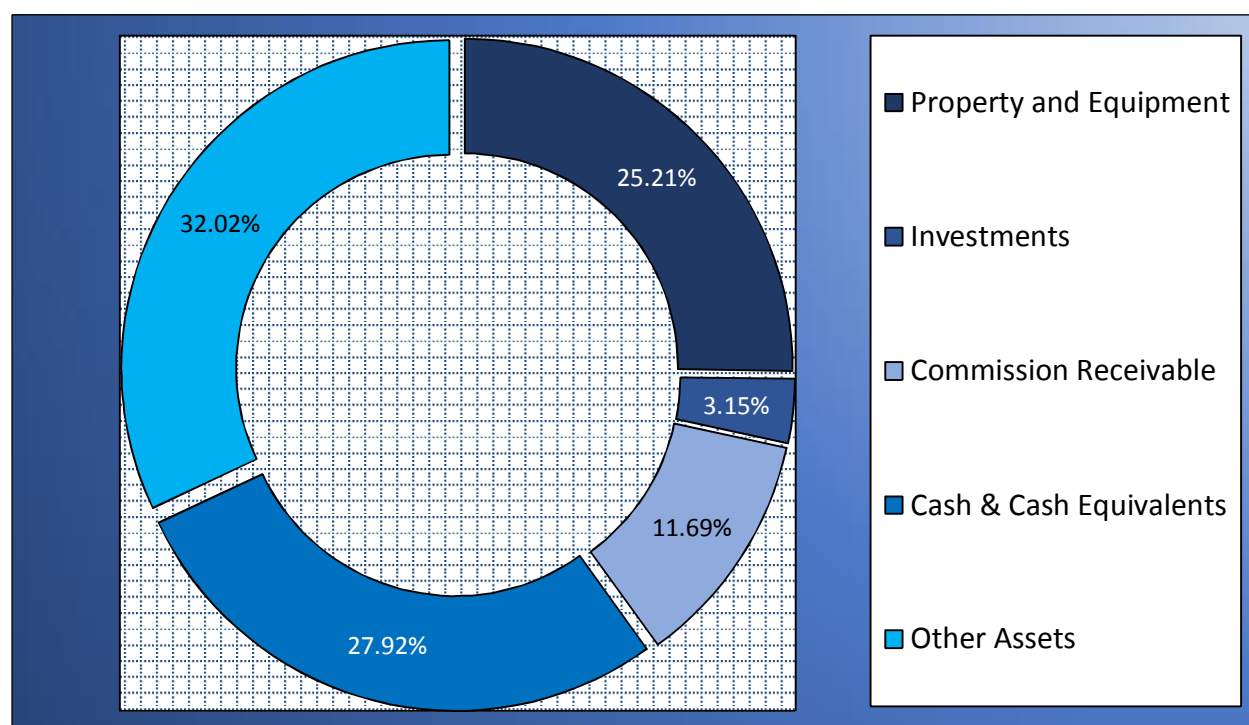
3.4 Asset Quality

Insurance brokers reported an 8.04% decrease in total assets from \$23.70 million as at 30 June 2014 to \$21.79 million as at 30 September 2014. The decrease in total assets was mainly attributable to the decrease in commission receivable from insurance companies which decreased from \$3.74 million as at 30 June 2014 to \$2.55 million as at 30 September 2014. The decrease in commission receivable is in sync with practices in the insurance industries where commission receivable from insurers is paid over time pending some administrative issues.

The distribution of assets remained largely the same with a huge proportion being attributable to property and equipment as well as cash and cash equivalents as shown in Figure 23 below. The proportion of total assets attributable to investments i.e. 3.15% was considered to be low to generate adequate investment income to augment income from the core business of insurance brokers.

Figure 23 below shows the breakdown of total assets as at 30 September 2014.

Figure 23: Distribution of Insurance Brokers' Total Assets



3.5 Earnings

Insurance brokers reported a 28.05% decrease in profit after tax from \$0.96 million for the nine months ended 30 September 2013 to \$0.69 million for the nine months ended 30 September 2014. The decline in profit after tax was on mainly driven by decreasing business volumes. A total of ten (10) five insurance brokers out of twenty seven (27) operational insurance brokers reported losses during the period under review. For more information refer to Appendix 3A.

The decrease in profit after tax alluded to above resulted in the deterioration in the industry average return on equity (ROE) and return on assets (ROA) from 12.29% and 4.02% for the nine months ended 30 September 2013 to 10.30% and 3.16% respectively for the nine months period under review.

3.6 Market Share for Insurance Brokers

The market for insurance brokers was considered as having remained unconcentrated with Herfindahl Indices of 0.09 in terms of both net brokerage income and premium written. The top three insurance brokers in terms of net brokerage commission remained Minerva Risk Solutions, Marsh Insurance Brokers Zimbabwe and Alexander Forbes Risk Services Zimbabwe as shown in Figure 24 below with a combined market share of 42.46%.

On the other hand, Progressive Insurance Brokers, Minerva Risk Solutions, and Hunt Adams Insurance brokers were the market leaders in terms of total assets as shown in Figure 25 below.

Figure 24: Market Share in Terms of Net Brokerage Income and Premium Written

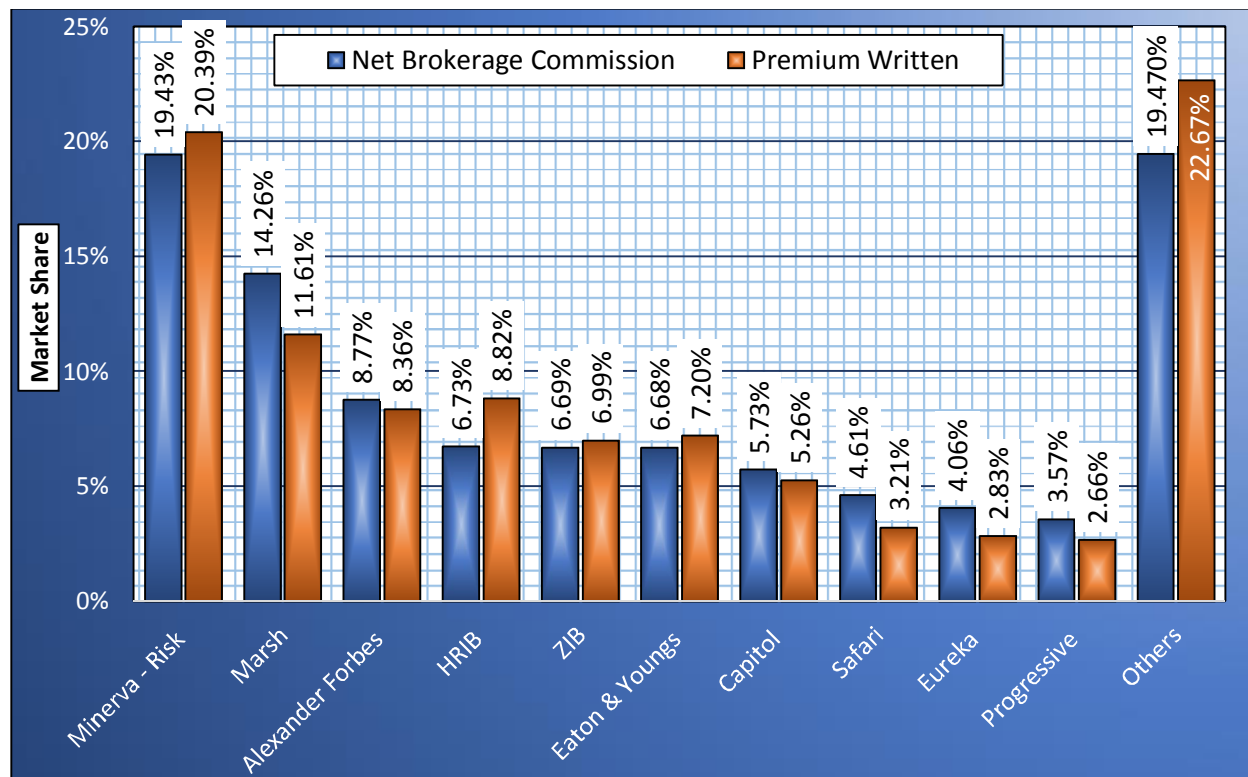
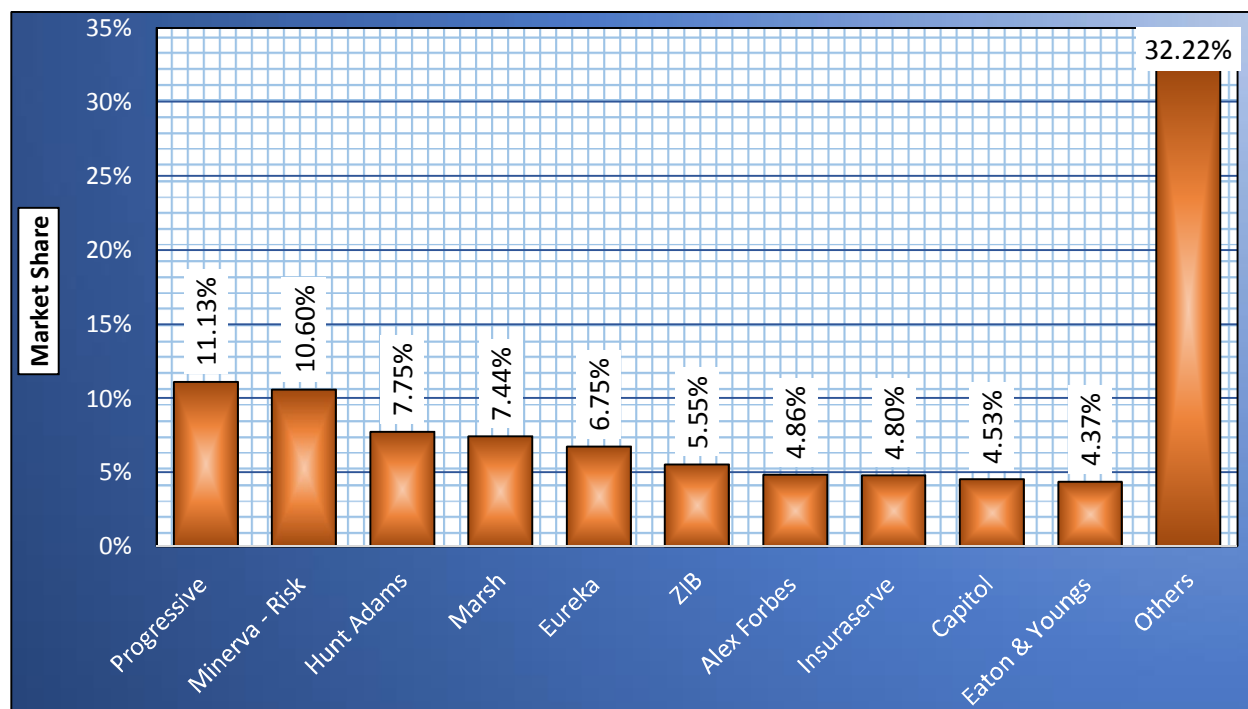


Figure 25: Market Share for Insurance Brokers in Terms of Total Assets



SECTION D
4. REINSURANCE BROKERS

4.1 Number of Reinsurance Brokers

Following the resuscitation of conduct of reinsurance broking business by Afro-Asian Insurance Brokers (formerly Matden Reinsurance Brokers), there were four (4) registered and operational reinsurance brokers as at 30 September 2014. However, at the time of compilation of this report the Commission had registered Classic Reinsurance Brokers bringing the number of registered reinsurance brokers to five (5). Classic is yet to commence operations pending a pre-opening inspection.

4.2 Business Written

Total premium in respect of business handled by reinsurance brokers for the nine months ended 30 September 2014 amounted to \$47.18 million, reflecting a 3.73% increase from \$45.48 million recorded in the comparative period in 2013. The business handled by reinsurance brokers accounted for 58.96% of gross premium written by non-life reinsurers. This indicates that non-life reinsurers generate the greater proportion of their business through brokers.

The brokerage commission generated from the business written during the period under review amounted to \$10.5 million and accounted for 22.25% of total premium. Table 7 below shows the indicators of business written by reinsurance brokers during the period under review.

Table 7: Indicators of Business Written for Reinsurance Brokers

Indicator	30 Sep 2013	30 Sep 2014	Percentage Change
Premium Written	45,478,746	47,177,325	3.73%
Brokerage Commission	8,915,432	10,496,214	17.73%
Premium Written Less Commission	36,563,314	36,681,112	0.32%
Commission Paid	7,104,341	8,338,125	17.37%
Net Brokerage Commission	1,811,091	2,158,089	19.16%
Other Income	86,125	43,092	-49.97%
Operating Expenses	1,063,830	1,432,088	34.62%
Profit Before Tax	833,386	769,093	-7.71%
Taxation	217,295	215,581	-0.79%
Profit After Tax	616,090	553,512	-10.16%

4.3 Capitalization

All the registered reinsurance brokers, except Afro-Asian Reinsurance Brokers reported capital positions which were above \$100,000. The Commission is engaging the institution with a view to have it regularize its capital position. Table 8 below shows the trend in capital position for all reinsurance brokers since 31 December 2013.

Table 8: Capital Levels for Reinsurance Brokers

Name of Company	Reported Capital Position (\$)			
	31 Dec 2013	31 Mar 2014	30 Jun 2014	30 Sep 2014
1. Afro-Asian Reinsurance Brokers	9,939	(2,034)	(2034)	70,861
2. Minerva Re (Private) Limited	1,949,169	2,197,597	2,504,758	1,088,668
3. Pan African Re	363,915	388,165	416,353	444,826
4. Reinsurance Brokers International	152,328	97,446	119,570	118,686

4.4 Asset Quality

Total assets amounted to \$10.88 million as at 30 September 2014 compared to \$18.77 million that was reported as at 30 June 2014. The decrease in total assets was mainly driven by decrease in debtors as well as cash and cash equivalents.

The asset base for reinsurance brokers was mainly skewed towards debtors as well as cash and cash equivalents which accounted for a total of 39.42% of total assets as at 30 September 2014.

4.5 Earnings for Reinsurance Brokers

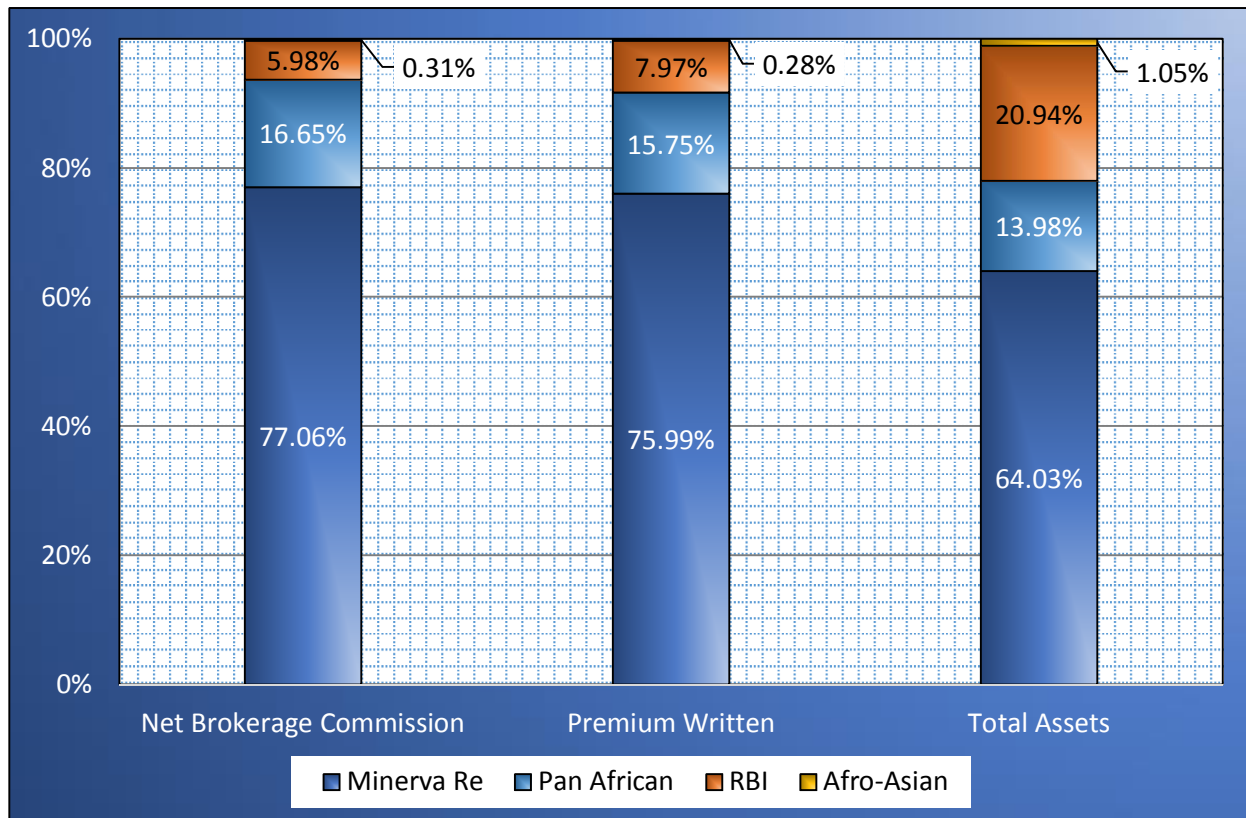
Notwithstanding the increase in the volume of business written by reinsurance brokers, total profit after tax decreased from \$616,090 for the nine months ended 30 September 2013 to \$553,512 for the nine months ended 30 September 2014. The decrease in profit after tax was mainly attributable to an increase in commission paid coupled with an upsurge in administration expenses.

The industry average return on equity (ROE) deteriorated from 40.49% for the nine months ended 30 September 2013 to 32.12% for the period under review. On the other hand the industry average return on assets increased from 3.3% to 5.09%.

4.6 Market Share for Reinsurance Brokers

The market for reinsurance broking remained largely dominated by Minerva Reinsurance Brokers in respect of business handled, net brokerage commission and total assets as at 30 September 2014. Figure 26 below, shows the market share for all reinsurance brokers.

Figure 26: Market Share for Reinsurance Brokers



SECTION E

5. APPENDICES

Appendix 1A: Statement of Comprehensive Income for Non-life Insurers \$('000)

	Alliance	Allied	Altfin	C.B.Z	Cell Insurance Company		Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Old Mutual	Quality	Regal	Safel	Sanctuary	THI	Tristar	Zimnat Lion	Total
					Promoter	Cell Business																				
Gross Premium Written	16,863	750	974	6,816	16,642	3,671	6,846	3,091	3,253	12,390	2,323	813	947	1,600	5,986	621	19,659	22,259	848	1,325	131	918	2,053	5,333	17,089	153,201
Reinsurance Premium	10,030	185	816	3,535	12,639	-	2,129	123	1,782	6,297	617	157	268	736	1,850	27	7,151	6,282	235	26	2	201	1,569	2,373	9,039	68,067
Net Premium Written	6,833	565	158	3,281	4,003	3,671	4,717	2,968	1,471	6,093	1,706	656	679	864	4,135	594	12,508	15,977	613	1,299	129	717	484	2,960	8,049	85,134
Increase/(Decrease) in UPR	(1,118)	(212)	(564)	724	214	536	123	252	214	248	268	(17)	22	(129)	30	(28)	(154)	221	(465)	(22)	27	(46)	(694)	53	579	63
Net Earned Premium	7,951	777	722	2,557	3,788	3,136	4,594	2,716	1,257	5,846	1,438	673	657	993	4,106	622	12,662	15,756	1,078	1,321	103	763	1,178	2,908	7,470	85,071
Net Incurred Claims	4,156	123	665	1,234	2,116	586	1,260	961	542	2,395	543	117	394	216	1,084	71	6,154	7,412	271	221	25	231	732	1,123	2,564	35,196
Net Commission Incurred	301	(13)	(87)	24	25	-	447	130	(216)	452	210	35	60	42	514	1	1,047	1,425	163	148	9	7	(98)	95	876	5,601
Technical Result	3,493	667	144	1,299	1,648	2,550	2,886	1,625	931	2,998	686	520	204	734	2,508	550	5,461	6,919	644	952	68	524	544	1,689	4,031	44,275
Operating Expenses	3,260	510	938	1,161	2,162	2,668	2,576	1,276	1,323	1,946	277	379	435	684	2,256	232	4,297	4,355	537	644	85	687	389	2,030	2,498	37,605
Underwriting Result	233	158	(794)	138	(514)	(118)	311	349	(392)	1,052	409	141	(231)	50	252	318	1,164	2,564	107	308	(17)	(163)	154	(341)	1,534	6,670
Investment Income	582	7	-	107	9	163	-	26	38	216	21	11	15	5	290	-	377	980	24	1	-	60	92	55	176	3,258
Unrealised Gains/(Losses)	(311)	3	(1)	1	12	(11)	-	-	(3)	(0)	-	-	2	(4)	(6)	-	-	(38)	(89)	-	-	-	-	191	-	(254)
Other Income/(Expenses)	219	152	215	(89)	643	(99)	311	160	-	34	(3)	210	-	9	29	-	41	(85)	-	3	0	147	65	212	(48)	2,127
Profit/(Loss) Before Tax	723	319	(580)	157	150	(65)	622	535	(357)	1,303	427	362	(214)	60	565	318	1,582	3,422	42	312	(16)	45	311	117	1,662	11,800
Taxation	186	76	(372)	(44)	39	(17)	74	138	(92)	358	55	18	-	14	7	82	529	1,314	5	145	-	12	86	21	383	3,015
Profit/(Loss) After Tax	537	243	(208)	201	111	(49)	548	397	(265)	944	372	344	(214)	47	558	236	1,053	2,108	37	167	(16)	33	226	96	1,279	8,785
Dividends	47	-	-	-	-	-	-	-	-	376	-	-	-	-	-	-	357	-	-	-	-	-	-	-	513	1,293
Retained Income	490	243	(208)	201	111	(49)	548	397	(265)	568	372	344	(214)	47	558	236	696	2,108	37	167	(16)	33	226	96	767	7,492

Appendix 1B: Statements of Financial Position for Non-life Insurers US\$'000

	Alliance	Allied	Altfin	C.B.Z	Cell Insurance Company Promoter	Cell Business	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Old Mutual	Quality	Regal	Safel	Sanctuary	THI	Tristar	Zimnat Lion	Total
ASSETS																										
Non-Current Assets																										
Fixed Assets	3,039	1,421	323	166	512	-	1,448	1,251	2,245	2,920	1,563	585	752	398	2,389	63	772	1,014	396	2,262	1,375	895	1,035	192	654	27,670
Long Term Investments	733	101	1,100	440	1,214	266	24	11	147	167	6	9	45	1,678	1,116	667	6,430	2,311	1,524	2	-	6	1,198	2,375	3,165	24,734
Other Non-Current Assets	-	-	-	90	-	-	-	-	95	-	-	-	-	-	1,221	-	-	-	10	-	-	-	-	-	354	1,770
	3,772	1,521	1,423	696	1,726	266	1,473	1,262	2,488	3,087	1,569	594	796	2,076	4,726	729	7,202	3,325	1,930	2,264	1,375	901	2,233	2,567	4,174	54,174
Technical Assets																										
Reinsurers' Share of O/S Claims	1,026	88	2,060	228	3,373	-	155	55	875	303	4	6	57	275	-	38	1,720	559	11	7	-	-	283	164	222	11,510
Deferred Acquisition Cost	327	173	-	29	4	-	55	15	66	112	18	19	291	24	289	25	811	719	147	13	10	11	329	95	548	4,131
	1,354	261	2,060	257	3,377	-	210	70	941	415	22	24	348	300	289	64	2,531	1,278	158	20	10	11	612	258	770	15,640
Current Assets																										
Cash & cash equivalents	57	44	1	327	10	1,594	196	63	184	320	550	28	61	90	2,123	5	3,967	2,282	54	315	50	36	33	24	344	12,756
Money Market Investments	6,360	123	-	1,943	236	1,701	6	526	335	2,712	-	-	-	72	-	-	609	11,454	-	-	-	760	2,224	444	1,369	30,873
Current Prescribed Assets	457	-	-	-	-	-	49	-	30	-	75	-	23	-	-	-	440	743	37	-	-	-	-	126	22	2,003
Premium Receivables	3,236	767	366	1,585	1,127	719	1,847	937	896	4,263	57	409	531	608	1,818	398	4,864	860	65	27	30	193	969	1,818	5,185	33,575
Other Current Assets	2,204	67	2,342	79	2,968	-	1,954	740	512	927	1,099	149	42	55	246	20	1,905	2,070	28	1,444	40	37	1,657	769	991	22,344
	12,314	1,000	2,709	3,934	4,341	4,014	4,051	2,266	1,957	8,220	1,781	586	657	825	4,187	424	11,785	17,408	184	1,786	120	1,026	4,883	3,181	7,911	101,552
TOTAL ASSETS	17,440	2,782	6,192	4,887	9,444	4,280	5,734	3,598	5,386	11,723	3,372	1,204	1,801	3,200	9,203	1,216	21,518	22,012	2,272	4,070	1,505	1,939	7,728	6,006	12,854	171,366
LIABILITIES																										
Deferred Tax Liabilities	(103)	70	244	(218)	(249)	-	-	30	97	262	22	14	17	-	310	-	532	-	(118)	28	-	39	34	32	864	1,906
Long Term loan	-	-	-	-	-	-	-	-	17	-	-	-	-	-	-	250	112	-	-	-	-	-	-	-	500	879
Current Tax provisions	186	101	-	-	(10)	(17)	205	23	-	127	116	23	-	-	18	115	606	248	42	331	-	-	1,300	220	(196)	3,439
Gross Outstanding Claims	1,706	149	3,221	690	4,066	213	819	558	1,443	870	138	54	241	550	807	92	1,800	2,059	36	33	25	34	340	389	813	21,145
IBNR	5,098	30	286	165	364	95	231	40	178	458	14	7	5	38	400	28	625	1,482	15	93	9	50	2	170	574	10,457
UPR	1,636	265	-	1,850	1,233	1,392	303	1,189	560	1,323	472	66	507	101	1,445	23	4,056	3,593	720	240	102	113	731	1,360	3,061	26,342
Reinsurance & Other Creditors	4,418	495	244	278	1,370	4	2,175	-	471	4,160	200	112	326	254	2,631	14	2,052	-	21	74	-	369	924	1,397	2,014	24,004
Other Liabilities	-	108	1,291	307	248	-	32	187	142	398	90	178	43	205	-	234	1,313	733	43	556	33	32	807	736	647	8,365
TOTAL LIABILITIES	12,940	1,218	5,286	3,073	7,022	1,688	3,765	2,025	2,908	7,598	1,052	454	1,139	1,149	5,610	756	11,096	8,115	759	1,354	169	638	4,139	4,304	8,278	96,536
SHAREHOLDERS' EQUITY																										
Share Capital	301	26	300	51	620	-	382	1,300	2	1	651	360	40	500	2,500	400	2,834	300	130	1,860	1,500	100	1,000	1	553	15,711
Share Premium	-	846	625	590	-	-	-	-	1,824	2,800	-	-	796	2,785	-	637	3,291	-	90	-	-	2,002	-	4,032	-	20,318
Revaluation & Other Reserves	1,141	-	423	-	-	-	3	111	353	137	7	287	58	80	218	-	23	2,148	49	243	-	-	587	498	1,260	7,625
Retained Profit	3,058	693	(442)	1,174	1,802	2,592	1,585	162	298	1,187	1,662	103	(232)	(1,314)	875	(577)	4,274	11,449	1,244	613	(165)	(801)	2,003	(2,829)	2,763	31,176
Shareholders's Equity	4,499	1,564	906	1,814	2,422	2,592	1,969	1,573	2,478	4,125	2,321	750	663	2,051	3,592	460	10,422	13,896	1,513	2,716	1,335	1,301	3,589	1,702	4,576	74,831
TOTAL EQUITY & LIABILITIES	17,440	2,782	6,192	4,887	9,444	4,280	5,734	3,598	5,386	11,723	3,372	1,204	1,801	3,200	9,203	1,216	21,518	22,012	2,272	4,070	1,505	1,939	7,728	6,006	12,854	171,366

Appendix 1C: Key Performance Indicators for Non-life Insurers																										
	Alliance	Allied	Altfin	C.B.Z	Cell Insurance Company		Champions	Clarion	Credsurre	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Old Mutual	Quality	Regal	Safel	Sanctuary	THI	Tristar	Zimnat Lion	Total/ Average
					Promoter	Cell Business																				
Capital Adequacy																										
Capital Position (\$000)	4,499	1,564	906	1,814	2,422	2,592	1,969	1,573	2,478	4,125	2,321	750	663	2,051	3,592	460	10,422	13,896	1,513	2,716	1,335	1,301	3,589	1,702	4,576	2,993
Capital Maintenance Ratio (CMR)	197.15%	104.30%	60.40%	120.93%	161.49%	172.79%	131.27%	104.87%	165.20%	230.35%	154.70%	49.98%	44.17%	136.75%	239.49%	30.67%	248.95%	284.11%	100.87%	181.09%	89.03%	86.74%	239.29%	113.45%	227.39%	199.55%
Equity/Total Assets Ratio	25.80%	56.23%	14.63%	37.12%	25.65%	60.56%	34.34%	43.72%	46.01%	35.19%	68.81%	62.27%	36.78%	64.11%	39.03%	37.82%	48.43%	63.13%	66.59%	66.74%	88.75%	67.11%	46.45%	28.33%	35.60%	43.67%
Solvency Margin	49.29%	118.88%	29.09%	51.55%	52.10%	70.60%	41.75%	47.54%	84.02%	57.59%	119.51%	114.23%	45.63%	195.50%	74.23%	57.20%	62.24%	71.03%	79.62%	116.91%	>200%	181.36%	103.81%	46.44%	56.85%	68.41%
Asset Quality																										
Total Assets (\$000)	17,440	2,782	6,192	4,887	9,444	4,280	5,734	3,598	5,386	11,723	3,372	1,204	1,801	3,200	9,203	1,216	21,518	22,012	2,272	4,070	1,505	1,939	7,728	6,006	12,854	171,366
Investments to Assets	43.62%	9.59%	17.78%	55.44%	15.46%	83.21%	4.79%	16.66%	12.93%	27.29%	18.70%	3.08%	7.15%	57.49%	35.20%	55.24%	53.19%	76.28%	71.08%	7.80%	3.35%	41.39%	44.71%	49.42%	38.12%	41.06%
Non-Profitable Assets/Total Assets	56.38%	90.41%	82.22%	44.56%	84.54%	16.79%	95.21%	83.34%	87.07%	72.71%	81.30%	96.92%	92.85%	42.51%	64.80%	44.76%	46.81%	23.72%	28.92%	92.20%	96.65%	58.61%	55.29%	50.58%	61.88%	58.94%
Investment in Fixed Assets/Total Assets	17.43%	51.07%	5.22%	3.40%	5.42%	0.00%	25.26%	34.77%	41.69%	24.91%	46.36%	48.57%	41.72%	12.44%	25.96%	5.15%	3.59%	4.61%	17.43%	55.57%	91.37%	46.15%	13.40%	3.20%	5.09%	16.15%
Prescribed Assets Ratio	2.62%	0.00%	0.00%	0.00%	0.00%	0.00%	0.85%	0.00%	0.56%	0.00%	2.22%	0.00%	1.30%	0.00%	0.00%	0.00%	2.04%	3.38%	1.63%	0.00%	0.00%	0.00%	0.00%	2.10%	0.17%	1.17%
Premium Debtors/Gross Premium	19.19%	102.27%	37.58%	23.26%	6.77%	19.58%	26.98%	30.33%	27.55%	34.40%	2.45%	50.26%	56.08%	38.00%	30.36%	64.09%	24.74%	3.86%	7.67%	2.05%	22.92%	21.04%	47.18%	34.09%	30.34%	21.92%
Premium Debtors/Total Assets	18.55%	27.57%	5.91%	32.44%	11.93%	16.79%	32.21%	26.05%	16.64%	36.36%	1.68%	33.93%	29.48%	19.00%	19.75%	32.73%	22.60%	3.91%	2.86%	0.67%	2.00%	9.97%	12.54%	30.27%	40.34%	19.59%
Reinsurance																										
Risk Retention Ratio	40.52%	75.36%	16.22%	48.14%	24.05%	100.00%	68.91%	96.03%	45.23%	49.18%	73.43%	80.73%	71.73%	54.01%	69.09%	95.66%	63.62%	71.78%	72.29%	98.03%	98.33%	78.15%	23.58%	55.51%	47.10%	55.57%
Reinsurance Creditors/Reinsurance Premium	44.05%	267.73%	29.90%	7.88%	10.84%	0.00%	102.18%	0.00%	26.46%	66.07%	32.40%	71.73%	121.72%	34.47%	142.21%	53.36%	28.70%	0.00%	8.94%	282.90%	0.00%	183.89%	58.92%	58.88%	22.28%	35.27%
Reinsurers' Share of O/S Claims to O/S Claims	60.17%	59.17%	63.96%	33.08%	82.96%	0.00%	18.94%	9.92%	60.67%	34.81%	2.64%	10.12%	23.47%	50.00%	0.00%	41.81%	95.56%	27.17%	30.56%	20.09%	0.00%	0.00%	83.08%	42.08%	27.31%	54.43%
Reinsurers Debtors/Reinsurance Creditors	23.23%	17.83%	844.26%	81.93%	246.23%	0.00%	7.13%	0.00%	185.68%	7.28%	1.82%	4.90%	17.35%	108.50%	0.00%	266.06%	83.82%	0.00%	52.38%	9.04%	0.00%	0.00%	30.59%	11.73%	11.02%	47.95%
Actuarial																										
UPR (\$000)	1,636	265	-	1,850	1,233	1,392	303	1,189	560	1,323	472	66	507	101	1,445	23	4,056	3,593	720	240	102	113	731	1,360	3,061	26,342
IBNR (\$000)	5,098	30	286	165	364	95	231	40	178	458	14	7	5	38	400	28	625	1,482	15	93	9	50	2	170	574	10,457
Net Outstanding Claims	680	61	1,161	461	693	213	664	502	568	567	134	49	184	275	807	53	80	1,499	25	27	25	34	58	226	591	9,636
Total Reserves/Total Investment Assets	97.45%	133.45%	131.43%	91.40%	156.84%	47.76%	436.16%	288.70%	187.40%	73.40%	98.28%	328.60%	541.11%	22.54%	81.87%	15.49%	41.60%	39.16%	47.06%	113.12%	269.62%	24.61%	22.89%	59.13%	86.25%	65.99%
(Outstanding Claims+IBNR)/Investment Assets	75.95%	33.93%	131.43%	23.12%	72.37%	8.66%	325.91%	90.42%	107.00%	32.03%	23.46%	151.64%	147.08%	17.03%	37.25%	12.12%	6.16%	17.76%	2.48%	37.59%	66.66%	10.50%	1.74%	13.31%	23.78%	28.55%
Total Reserves/Assets	42.51%	12.79%	23.37%	50.67%	24.25%	39.74%	20.88%	48.10%	24.23%	20.03%	18.38%	10.12%	38.66%	12.96%	28.82%	8.56%	22.13%	29.87%	33.45%	8.82%	9.03%	10.19%	10.23%	29.23%	32.88%	27.10%
Earnings																										
Profit After Tax (\$000)	537	243	(208)	201	111	(49)	548	397	(265)	944	372	344	(214)	47	558	236	1,053	2,108	37	167	(16)	33	226	96	1,279	8,785
Return on Equity	11.93%	15.52%	-22.96%	11.10%	4.59%	-1.87%	27.81%	25.25%	-10.69%	22.90%	16.03%	45.92%	-32.33%	2.28%	15.54%	51.26%	10.10%	15.17%	2.45%	6.14%	-1.23%	2.56%	6.29%	5.63%	27.95%	11.74%
Return on Assets	3.08%	8.73%	-3.36%	4.12%	1.18%	-1.14%	9.55%	11.04%	-4.92%	8.06%	11.03%	28.59%	-11.89%	1.46%	6.07%	19.38%	4.89%	9.58%	1.63%	4.10%	-1.09%	1.72%	2.92%	1.60%	9.95%	5.13%
Loss Ratio	52.27%	15.84%	92.11%	48.24%	55.84%	18.69%	27.43%	35.37%	43.11%	40.98%	37.72%	17.45%	59.94%	21.80%	26.39%	11.44%	48.60%	47.05%	25.14%	16.72%	24.15%	30.31%	62.13%	38.63%	34.32%	41.37%
Net Commission Ratio	3.79%	-1.65%	-12.05%	0.95%	0.66%	0.00%	9.74%	4.80%	-17.17%	7.73%	14.60%	5.26%	9.09%	4.27%	12.53%	0.13%	8.27%	9.04%	15.12%	11.22%	9.13%	0.97%	-8.30%	3.28%	11.72%	6.58%
Net Expense Ratio	41.01%	65.55%	129.92%	45.42%	57.07%	85.09%	56.07%	46.96%	105.26%	33.29%	19.27%	56.35%	66.16%	68.85%	54.94%	37.37%	33.94%	27.64%	49.81%	48.72%	83.20%	90.07%	33.06%	69.81%	33.43%	44.20%
Combined Ratio	97.07%	79.74%	209.97%	94.62%	113.58%	103.78%	93.24%	87.13%	131.20%	82.00%	71.60%	79.07%	135.18%	94.92%	93.86%	48.94%	90.81%	83.73%	90.07%	76.65%	116.48%	121.35%	86.89%	111.72%	79.47%	92.16%
Underwriting Margin	2.93%	20.26%	-109.97%	5.38%	-13.58%	-3.78%	6.76%	12.87%	-31.20%	18.00%	28.40%	20.93%	-35.18%	5.08%	6.14%	51.06%	9.19%	16.27%	9.93%	23.35%	-16.48%	-21.35%	13.11%	-11.72%	20.53%	7.84%
Investment Income/NPW Ratio	3.97%	1.67%	-0.63%	3.31%	0.53%	4.14%	0.00%	0.87%	2.41%	3.54%	1.25%	1.71%	2.50%	0.17%	6.88%	0.00%	3.01%	5.90%	-10.60%	0.05%	0.00%	8.42%	18.98%	8.29%	2.19%	3.53%
Investment Income/Total Financial Assets	3.25%	2.57%	-0.05%	3.45%	0.79%	3.97%	0.00%	4.23%	4.20%	6.42%	3.35%	24.51%	9.80%	0.04%	6.53%	0.00%	2.11%	4.94%	-2.07%	0.19%	0.00%	7.47%	1.98%	4.59%	2.19%	3.16%
Liquidity																										
Working Capital (\$000)	728	151	774	1,426	944	2,326	529	498	149	1,435	842	334	(90)	181	(1,134)	215	4,645	11,304	(374)	1,008	(6)	432	2,163	(129)	1,550	29,899
Current ratio	105.62%	113.63%	119.37%	151.57%	113.93%	237.77%	114.16%	127.09%	105.43%	119.94%	187.56%	220.91%	91.74%	119.17%	79.78%	178.97%	148.03%	253.12%	47.77%	226.32%	95.56%	171.28%	164.93%	96.39%	121.73%	134.25%
Acid Test ratio	53.13%	14.97%	0.03%	82.08%	3.63%	195.19%	6.70%	32.02%	19.98%	42.10%	65.02%	10.24%	7.68%	17.16%	37.85%	1.97%	51.87%	196.12%	12.71%	39.48%	37.09%	131.40%	67.75%	16.64%	24.33%	52.28%
Market Shares																										
Market Share Based on GWP	11.01%	0.49%	0.64%	4.45%	10.86%	2.40%	4.47%	2.02%	2.12%	8.09%	1.52%	0.53%	0.62%	1.04%	3.91%	0.41%	12.83%	14.53%	0.55%	0.87%	0.09%	0.60%	1.34%	3.48%	11.15%	100%
Market Share Based on NPW	8.03%	0.66%	0.19%	3.85%	4.70%	4.31%	5.54%	3.49%	1.73%	7.16%	2.00%	0.77%	0.80%	1.02%	4.86%	0.70%	14.69%	18.77%	0.72%	1.53%	0.15%	0.84%	0.57%	3.48%	9.45%	100%
Market Share Based on Total Assets	10.18%	1.62%	3.61%	2.85%	5.51%	2.50%	3.35%	2.10%	3.14%	6.84%	1.97%	0.70%	1.05%	1.87%	5.37%	0.71%	12.56%	12.84%	1.33%	2.38%	0.88%	1.13%	4.51%	3.50%	7.50%	100%

Appendix 2A: Statement of Comprehensive Income-Reinsurers U\$ '000										
	Baobab Re	Collonade Re	FBC Re	FMRE	Grand Re	New Re	Tropical Re	ZB Re	Zep-Re	Total
Gross Written Premiums	7,217	2,716	12,283	15,424	5,024	1,252	10,354	17,417	8,332	80,018
Reinsurance Premiums	1,208	899	3,519	4,603	1,673	360	3,156	7,167	540	23,125
Net Written Premiums	6,009	1,817	8,764	10,820	3,351	892	7,197	10,250	7,792	56,893
Unearned Premium	(250)	(154)	21	559	219	(153)	111	459	299	1,111
Net Earned Premiums	6,259	1,971	8,743	10,262	3,133	1,045	7,087	9,790	7,493	55,783
Net Incurred Claims	3,159	410	3,875	4,558	1,196	262	3,273	3,921	3,135	23,789
Net Commission Incurred	1,781	382	2,571	2,928	871	274	1,915	2,933	2,300	15,954
Technical Result	1,319	1,179	2,297	2,776	1,066	509	1,899	2,936	2,058	16,039
Operating Expenses	3,904	917	1,448	2,509	950	281	1,146	2,052	598	13,805
Underwriting Result	(2,585)	262	849	267	117	228	753	884	1,460	2,235
Investment										
Investment Income	(434)	34	795	167	(17)	-	236	591	93	1,464
Unrealised Gains/Losses	(606)	6	(104)	(61)	(11)	1	-	99	-	(677)
Other Income	-	-	53	15	-	-	-	-	-	67
Profit Before Tax	(3,626)	302	1,592	388	88	229	989	1,574	1,554	3,089
Taxation	377	76	410	65	-	46	337	390	-	1,700
Profit After Tax	(4,003)	227	1,181	323	88	183	652	1,184	1,554	1,389

Appendix 2B: Statement of Financial Position-Reinsurers US\$'000										
	Baobab Re	Collonade Re	FBC Re	FMRE	Grand Re	New Re	Tropical Re	ZB Re	Zep-Re	Total
ASSETS										
Non-Current Assets										
Fixed Assets	356	35	285	267	134	246	654	511	368	2,857
Investments	32,561	631	3,093	2,208	8,790	278	513	1,806	-	49,881
	32,917	666	3,378	2,475	8,924	524	1,167	2,318	368	52,738
Technical Assets										
Reinsurers' Share of O/S Claims	2,873	229	3,972	398	174	67	423	-	-	8,136
Deferred Acquisition Cost (DAC)	1,164	23	979	820	1,101	-	306	-	408	4,802
	4,037	252	4,951	1,218	1,275	67	729	-	408	12,938
Current Assets										
Cash & cash equivalents	293	78	7,734	4,038	555	432	156	8,168	2	21,456
Money Market Investments	49	692	-	-	-	-	2,752	81	2,222	5,796
Current Prescribed Assets	-	50	1,041	572	10	-	180	200	-	2,053
Premium Receivables	3,024	1,620	2,807	3,889	2,050	721	1,140	2,165	1,537	18,953
Inventory and Other Debtors	5,052	140	473	949	69	27	615	414	640	8,380
	8,418	2,580	12,056	9,448	2,684	1,180	4,842	11,029	4,401	56,638
TOTAL ASSETS	45,372	3,499	20,385	13,140	12,883	1,771	6,738	13,347	5,177	122,313
Liabilities										
Deferred Tax Liabilities	(239)	3	(277)	198	1	-	251	263	-	201
Long term loan	-	-	-	-	300	-	-	-	-	300
Current Tax provisions	15	72	158	-	-	72	114	250	-	681
Gross Outstanding Claims	5,133	259	5,017	776	440	325	755	277	1,457	14,440
IBNR	566	91	818	1,495	525	58	771	1,241	-	5,565
UPR	3,105	759	3,389	2,889	1,424	250	1,531	1,900	1,317	16,564
Retrocession Creditors	5,523	-	1,365	1,810	320	449	143	319	-	9,927
Other Creditors	4,687	545	299	49	353	-	242	950	-	7,125
Total Liabilities	18,789	1,729	10,770	7,217	3,363	1,154	3,807	5,199	2,774	54,803
SHAREHOLDERS' EQUITY										
Share Capital	500	1,056	600	1	400	-	0	5	-	2,562
Share Premium	25,526	290	2,203	3,934	-	298	410	2,495	-	35,157
Revaluation & Other Reserves	7,529	26	2,870	254	5,260	182	-	11	-	16,131
Retained Profit	(6,972)	397	3,942	1,735	4,043	137	2,713	5,637	2,403	14,035
Shareholders's Equity	26,583	1,770	9,615	5,923	9,703	617	3,123	8,148	2,403	67,885
TOTAL EQUITY & LIABILITIES	45,372	3,499	20,385	13,140	13,066	1,771	6,929	13,347	5,177	122,688

Appendix 2C: Key Performance Indicators for Reinsurers										
	Baobab Re	Colonnade	FBC Re	FMRE	Grand Re	New Re	Tropical Re	ZB Re	Zep - Re Country Office	Total/Average
Indicator										
Capital Adequacy										
Shareholders' Equity (Capital Base) \$ 000	26,583	1,770	9,615	5,923	9,703	617	3,123	8,148	2,403	7,543
Capital Maintenance Ratio (CMR)	844.10%	117.99%	331.80%	187.16%	646.87%	41.13%	130.50%	218.85%	123.36%	374.40%
Equity/Total Assets Ratio	58.59%	50.58%	47.17%	45.08%	74.26%	34.84%	45.06%	61.05%	46.41%	55.33%
Solvency Margin	211.03%	59.82%	82.95%	46.79%	289.52%	61.25%	32.63%	54.71%	30.84%	93.60%
Asset Quality										
Total Assets (\$ 000)	45,372	3,499	20,385	13,140	13,066	1,771	6,930	13,347	5,177	122,688
Investments to Assets	72.52%	41.48%	58.22%	51.89%	71.60%	40.09%	51.96%	76.84%	42.95%	64.54%
Non-Profitable Assets/Total Assets	27.48%	58.52%	41.78%	48.11%	27.00%	59.91%	45.28%	23.16%	57.05%	35.15%
Investment in Fixed Assets/Total Assets	0.78%	1.00%	1.40%	2.03%	1.03%	13.89%	9.44%	3.83%	7.11%	2.33%
Prescribed Assets Ratio	0.00%	1.43%	5.11%	4.35%	0.08%	0.00%	2.60%	1.50%	0.00%	1.67%
Premium Debtors/Gross Premium	41.91%	59.65%	22.85%	25.21%	40.80%	57.59%	11.01%	12.43%	18.44%	23.69%
Premium Debtors/Total Assets	6.67%	46.30%	13.77%	29.60%	15.69%	40.71%	16.45%	16.22%	29.68%	15.45%
Retrocession										
Risk Retention Ratio	83.27%	66.90%	71.35%	70.15%	66.70%	71.25%	69.52%	58.85%	93.52%	71.10%
Retrocession Creditors/Retrocession Premium	457.35%	0.00%	38.78%	39.32%	19.11%	124.72%	4.52%	4.45%	0.00%	42.93%
Reinsurers' Share of O/S Claims to O/S Claims	55.97%	88.54%	79.17%	51.29%	39.43%	20.62%	55.95%	0.00%	0.00%	56.34%
Retrocession Debtors/Retrocession Creditors	52.02%	0.00%	291.11%	21.99%	54.33%	14.92%	296.29%	0.00%	0.00%	81.95%
Actuarial										
UPR	3,105	759	3,389	2,889	1,424	250	1,531	1,900	1,317	16,564
IBNR	566	91	818	1,495	525	58	771	1,241	-	5,565
Net Outstanding Claims	2,260	30	1,045	378	267	258	333	277	1,457	6,304
Total Reserves/Investment Assets	18.02%	60.59%	44.25%	69.85%	23.68%	79.72%	73.17%	33.32%	124.76%	35.91%
(Outstanding Claims+IBNR)/Investment Assets	17.32%	24.11%	49.17%	33.31%	10.32%	53.94%	42.38%	14.80%	65.53%	25.26%
Total Reserves/Total Assets	13.07%	25.14%	25.76%	36.24%	16.96%	31.96%	38.02%	25.61%	53.59%	23.17%
Earnings										
Profit After Tax	(4,003)	227	1,181	323	88	183	652	1,184	1,554	1,389
Return on Equity	-15.06%	12.81%	12.29%	5.45%	0.91%	29.66%	20.89%	14.54%	64.65%	2.05%
Return on Assets	-8.82%	6.48%	5.80%	2.46%	0.68%	10.33%	9.41%	8.87%	30.01%	1.13%
Loss Ratio	50.47%	20.81%	44.32%	44.42%	38.18%	25.07%	46.18%	40.05%	41.84%	42.65%
Net Commission Ratio	28.46%	19.36%	29.41%	28.53%	27.79%	26.22%	27.02%	29.95%	30.69%	28.60%
Net Expense Ratio	62.37%	46.52%	16.56%	24.45%	30.31%	26.89%	16.16%	20.96%	7.98%	24.75%
Combined Ratio	141.31%	86.69%	90.29%	97.40%	96.28%	78.18%	89.37%	90.97%	80.51%	95.99%
Underwriting Margin	-41.31%	13.31%	9.71%	2.60%	3.72%	21.82%	10.63%	9.03%	19.49%	4.01%
Investment Income/NPW Ratio	-17.32%	2.20%	7.87%	0.98%	-0.84%	0.11%	3.27%	6.73%	1.20%	1.38%
Investment Income/Total Financial Assets	-3.16%	2.76%	5.81%	1.56%	-0.30%	0.14%	6.54%	6.73%	4.20%	0.99%
Liquidity										
Working Capital	(1,647)	1,649	6,536	3,498	1,249	93	2,006	6,780	2,035	22,198
Current ratio	88.32%	239.22%	162.42%	148.79%	146.08%	108.06%	156.26%	259.56%	173.34%	146.85%
Acid Test ratio	2.42%	65.07%	73.86%	56.33%	20.48%	37.44%	81.55%	194.14%	80.16%	57.52%
Market Shares										
Market Share Based on GPW	9.02%	3.39%	15.35%	19.28%	6.28%	1.56%	12.94%	21.77%	10.41%	100%
Market Share Based on NPW	10.56%	3.19%	15.40%	19.02%	5.89%	1.57%	12.65%	18.02%	13.70%	100%
Market Share Based on Total Assets	36.98%	2.85%	16.62%	10.71%	10.65%	1.44%	5.65%	10.88%	4.22%	100%

Appendix 3A: Statement of Comprehensive Income for Brokers US\$'000

	Alexander Forbes	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	Eaton & Youngs	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	Insuraverse	L.A. Guard	Marsh	Minerva - Risk Solutions	Momentum	Paul Mkondo	Perpro	Progressive	Rainbow	Safari	TIB	Victory	ZIB	Total
Premium Written	5,330	83	559	97	310	3,358	1,142	4,593	1,803	1,926	475	54	5,628	3,757	1,752	111	7,404	13,007	1,741	45	215	1,696	64	2,045	1,475	655	4,457	63,779
Premium Payable	4,287	62	488	85	256	2,716	936	3,813	1,348	1,579	392	42	4,666	3,096	1,472	101	5,802	10,831	1,447	35	188	1,275	54	1,529	1,161	541	3,708	51,911
Brokerage Commission	1,043	21	71	12	54	641	206	780	454	347	83	12	961	661	280	10	1,602	2,175	295	10	27	421	9	516	314	114	749	11,868
less Commission paid	62	0	0	3	0	0	0	32	0	2	13	0	208	322	0	0	6	0	0	3	3	21	0	0	0	0	0	673
Net Brokerage Commission	981	21	71	9	54	641	206	748	454	345	70	12	753	339	280	10	1,596	2,175	295	7	24	400	9	516	314	114	749	11,194
Other Income	91	5	0	41	0	1	0	64	75	48	0	7	1	19	34	0	17	0	0	20	156	140	0	12	20	36	254	1,041
Admin Expenses	1,077	22	60	50	53	624	250	728	588	420	58	18	635	339	263	20	816	2,339	369	30	169	531	12	507	335	78	922	11,313
Profit Before Tax	(5)	4	12	1	1	18	(44)	84	(59)	(27)	12	1	119	19	51	(10)	797	(163)	(75)	(3)	12	9	(3)	21	(1)	73	81	922
Taxation	3	1	2	0	0	4	0	23	(7)	0	0	0	31	0	13	0	114	0	3	1	2	0	0	0	0	22	22	235
Profit after Tax	(9)	3	9	0	1	15	(44)	61	(52)	(27)	11	1	88	19	38	(10)	683	(163)	(78)	(4)	10	9	(3)	21	(1)	51	59	688

APPENDIX 3B: STATEMENT OF FINANCIAL POSITION-US\$('000)

	Alexander Forbes	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	Eaton & Youngs	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	Insuraverse	L.A Guard	Marsh	Minerva - Risk Solutions	Momentum	Paul Mkondo	Perpro	Progressive	Rainbow	SATIB	TIB	Victory	ZIB	Total
Shareholder's Equity																												
Share Capital	977	127	32	310	20	116	77	100	50	50	0	5	1	1	0	100	5	0	100	20	40	120	15	0	50	200	50	2,566
Share Premium	-	-	-	84	68	-	37	-	-	24	-	-	-	275	-	-	-	-	-	126	-	-	-	-	-	123	-	738
Non-Distributable Reserves	-	-	100	38	12	121	60	82	19	58	151	141	10	134	-	9	412	-	319	53	20	100	-	100	-	30	191	2,162
Retained Income	(534)	-	9	3	1	367	(14)	268	179	69	11	-	273	(283)	163	(7)	776	(916)	96	(9)	112	521	(3)	58	50	66	(41)	1,214
Shareholder's Equity	443	127	141	435	101	604	160	450	247	201	163	146	284	128	164	103	1,193	(916)	515	191	172	741	12	158	100	419	200	6,680
Current liabilities																												
Payable Premiums	369	62	488	-	83	199	-	490	94	-	-	11	230	1,374	612	97	154	1,597	231	11	-	913	3	318	200	111	459	8,107
Other	-	-	-	4	-	-	-	-	-	-	-	-	-	-	-	-	-	-	37	-	-	-	-	-	-	-	-	41
Brokers commision payable	-	-	-	-	-	-	-	-	-	-	-	-	10	-	-	-	-	-	-	-	-	-	-	-	-	-	-	10
Provisions	-	-	-	-	-	47	-	12	-	25	-	-	81	-	-	-	-	-	-	-	-	-	-	-	-	-	-	164
Sundry creditors	-	-	-	-	-	-	1	-	-	57	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	33	91
Taxation	-	1	-	-	-	-	-	-	(13)	-	-	-	28	-	-	-	-	-	-	-	-	-	-	-	-	-	-	15
Other	247	21	-	-	-	122	-	-	1,131	94	67	-	1	183	-	-	253	1,630	-	17	2	299	-	323	69	-	499	4,957
Total Current Liabilities	616	83	488	4	83	368	1	502	1,212	176	67	11	350	1,557	612	97	407	3,227	268	29	2	1,212	3	641	268	111	990	13,385
TOTAL LIABILITIES & EQUITY	1,059	210	629	439	184	988	161	952	1,470	377	230	157	919	1,688	1,045	200	1,621	2,311	938	219	183	2,426	430	849	369	530	1,210	21,791
Non - Current Assets																												
Property and Equipment	-	-	70	60	-	7	-	-	-	-	-	-	-	-	-	-	-	-	4	-	-	-	-	-	1	23	-	165
Land & Buildings	-	65	100	140	-	404	144	189	52	-	188	150	380	-	250	43	150	-	-	97	-	180	400	115	-	15	268	3,328
Furniture and Fittings	16	6	55	41	14	22	4	42	10	7	11	3	9	6	27	9	32	44	14	27	21	12	4	6	8	7	14	473
Motor Vehicles	181	31	40	106	20	37	-	-	51	44	6	-	201	93	34	22	13	1	75	2	47	28	15	-	36	52	23	1,156
Computer Equipment	19	6	45	5	15	3	0	-	7	26	3	-	30	3	9	2	8	39	5	0	5	15	4	14	11	8	22	304
Computer Software	-	-	14	2	0	-	0	-	-	28	-	-	-	-	-	1	0	-	-	-	-	1	-	-	-	6	15	67
Investments	-	-	-	31	27	61	-	18	24	-	-	-	-	-	7	48	-	-	194	42	-	30	-	-	-	143	64	687
Other	170	-	-	-	-	-	-	-	-	-	-	2	44	-	-	-	-	-	1	4	3	1	-	3	-	200	-	429
Total Non- Current Assets	386	108	324	385	77	534	148	248	143	105	207	155	664	101	326	125	203	85	292	173	76	267	423	138	55	453	406	6,609
Current Assets																												
Commission Receivable	-	-	71	8	-	-	-	-	-	-	-	1	131	-	-	10	99	-	-	-	-	1,567	-	-	-	40	622	2,548
Premium Receivables	-	-	-	-	-	-	-	-	-	29	-	-	-	-	-	-	-	820	-	-	-	-	-	309	-	-	-	1,157
Accured Investment Income	-	-	2	21	-	-	0	-	475	159	-	-	-	-	0	-	-	-	-	12	-	-	-	-	-	21	-	691
Other Debtors & Inventory	199	64	231	-	88	125	1	110	334	19	-	1	-	1,042	545	60	438	51	586	25	1	584	-	10	120	12	53	4,699
Cash & Cash Equivalents	473	36	-	25	19	329	12	594	518	65	23	0	124	545	174	5	880	1,355	60	10	106	8	7	391	194	3	129	6,085
Total Current Assets	672	100	305	54	107	454	12	704	1,327	271	23	2	256	1,587	719	75	1,417	2,226	646	47	107	2,159	7	711	314	77	804	15,181
TOTAL ASSETS	1,059	208	629	439	184	988	161	952	1,470	377	230	157	919	1,688	1,045	200	1,621	2,311	938	219	183	2,426	430	849	369	530	1,210	21,790

Appendix 4A: Statement of Comprehensive Income for Reinsurance Brokers (\$)

	Afro-Asian	Minerva Re	Pan African	RBI	Total
Premium Written	133,161	35,851,758	7,430,206	3,762,200	47,177,325
Premium due to Reinsurers	126,486	25,850,545	7,070,946	3,633,135	36,681,112
Brokerage Commission	6,675	10,001,213	359,260	129,065	10,496,214
less Commission Paid	-	8,338,125	-	-	8,338,125
Net Brokerage Commission	6,675	1,663,088	359,260	129,065	2,158,089
Other Income	-	4,261	18,534	20,297	43,092
Less Administration Expenses	61,707	983,879	268,173	118,329	1,432,088
Profit before Tax	(55,032)	683,470	109,621	31,034	769,093
Taxation	-	175,988	31,291	8,302	215,581
Profit/(Loss) after Tax	(55,032)	507,482	78,330	22,732	553,512

Appendix 4B: Statement of Financial Position for Reinsurance Brokers (\$)

	Afro-Asian	Minerva Re	Pan African	RBI	Total
Share Capital	10	4	1,000	200,000	201,014
Share Premium	96,608	-	70,000	-	166,608
Non-Distributable Reserves	29,438	-	-	21,171	50,609
Retained Income	(55,195)	1,088,664	373,826	(102,485)	1,304,810
Shareholder's Equity	70,861	1,088,668	444,826	118,686	1,723,041
Liabilities					
Non-Current Liabilities	-	-	-	-	-
Current Liabilities					
Payable Premiums	36,122	5,697,381	938,936	1,908,776	8,581,215
Provisions	-	-	52,678	-	52,678
Sundry creditors	-	-	26,569	-	26,569
Other	7,026	179,296	57,481	250,553	494,356
Total Current Liabilities	43,147	5,876,677	1,075,664	2,159,329	9,154,817
TOTAL LIABILITIES & EQUITY	114,657	6,965,345	1,520,490	2,278,015	10,878,508
Land & Buildings	-	-	185,000	-	185,000
Furniture and Fittings	6,965	9,805	11,284	-	28,054
Motor Vehicles	13,000	-	28,602	-	41,602
Computer Equipment	2,116	1,627	8,712	2,061	14,516
Investments	-	-	-	20,000	20,000
Other	12,595	-	-	26,572	39,167
Total Non- Current Assets	34,676	12,880	233,598	48,633	329,787
Premium Receivable	-	5,941,338	319,178	-	6,260,516
Other Debtors & Inventory	835	740,816	231,104	1,818,023	2,790,778
Cash & Cash Equivalents	79,147	270,309	736,610	411,359	1,497,425
Total Current Assets	79,982	6,952,463	1,286,892	2,229,383	10,548,719
TOTAL ASSETS	114,657	6,965,343	1,520,490	2,278,015	10,878,506